PROJECT CONCEPT DOCUMENT

Usiri Marketplace

A proposed multi-vendor e-commerce and coordinated-delivery platform for Tanzania

Working name only — no Usiri affiliation is implied.

Prepared for: the founding group
Version: 1.0 · **Date:** 29 October 2026
Author: project initiator

CONCEPT UNDER INVESTIGATION. This is not an approved project and not a Usiri project. No partnership, franchise, licence, funding or technical integration exists. All financial figures are planning assumptions, not quotations.

CONFIDENTIAL — FOR INTERNAL DISCUSSION

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Project concept document for internal discussion

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Date	29 October 2026
Prepared for	The founding group
Prepared by	Project initiator
Status	**Concept under investigation.** Not an approved project. Not a Usiri project. No partnership, franchise, licence, funding or technical integration exists.
Decision sought	Whether to fund a defined research phase (Phase 2), revise the concept, or stop

Important notice — please read before the rest of the document

This document explores a business idea. It is not a business plan, a legal opinion, a tax opinion, an offer, a prospectus, or a commitment by anyone.

No relationship with Usiri Group of Companies exists. Usiri is named only as one possible logistics and brand partner that the group could approach for discussions. Nothing in this document has been approved, authorised, sponsored or reviewed by Usiri. No franchise fee, royalty, route rate, service level, API, data-sharing arrangement or brand licence has been agreed, quoted or confirmed.

All financial figures are planning assumptions, expressed in Tanzanian shillings (TZS). They are not quotations, market prices or forecasts. Supplier commissions, payment fees, delivery charges, salaries and the hypothetical franchise fee must all be tested with real counterparties.

Market figures are directional. Public estimates of Tanzania's e-commerce market disagree with each other. They are used here to describe scale and uncertainty, not to promise a revenue opportunity.

No regulatory approval has been obtained. References to Tanzania's data protection, consumer protection, payment, tax and transport rules are a map of questions for professional advisers, not a compliance certificate.

The names and marks of Usiri and other companies belong to their owners. This document does not grant any right to use them.

Anyone committing money, signing an agreement or approaching a partner should verify the relevant facts independently.

How to read this document

The document is written for a group of university students and early-career entrepreneurs. It assumes curiosity but not specialist knowledge. Technical, legal and financial terms are explained the first time they appear, and there is a glossary at the end.

Each factual statement is tagged so that readers can see how much weight it can bear:

Tag	Meaning
[Verified]	Checked against an official or primary source that is listed in Appendix B.
[Self-reported]	A claim made by a company about itself. It may be true, but it has not been independently audited.
[Estimate]	A third-party estimate or model. Useful for direction, not precision.
[Assumption]	A number or belief the group is using for planning. It must be tested.
[To verify]	A question on which the group does not yet have enough evidence.

Source codes such as [S5] refer to the source register in Appendix B. Where sources conflict, the conflict is shown rather than hidden. The document also states, in Appendix F, what evidence would prove it wrong. A concept document that cannot be falsified is marketing, not analysis.

The document follows the twenty sections requested by the group's brief. Sections 1–5 explain the idea and the proposed partner relationship. Sections 6–12 explain how it would work. Sections 13–18 test whether it is feasible. Sections 19–20 set out the decision the group must make. The appendices hold the assumptions, sources, research checklist and glossary.

Glossary of key terms

Asset-light. A business that does not own most of the expensive physical assets it uses. A marketplace can own software and contracts while suppliers own stock and carriers own vehicles.

Average order value (AOV). Total value of goods sold divided by the number of orders. If ten orders are worth TZS 750,000 together, the AOV is TZS 75,000.

Break-even. The sales volume at which contribution equals fixed costs, so the business makes neither a profit nor a loss.

Carrier / 3PL. A transport company that moves parcels. "Third-party logistics" (3PL) means using an outside company rather than owning a fleet.

Chargeback. A card payment that a customer disputes through the bank and has reversed. The platform may have to repay the money even after the goods have gone.

Commission (take rate). The percentage of a sale that the marketplace keeps. If a TZS 100,000 sale carries an 8% commission, the platform earns TZS 8,000 before payment and delivery costs.

Contribution. Revenue from an order minus the costs that vary directly with that order (payment fees, support, refund handling, delivery cost). Contribution is the money available to pay fixed costs. It is not profit.

Escrow. A legal arrangement in which a neutral, licensed party holds a buyer's money until conditions are met. Calling an ordinary platform wallet "escrow" does not make it one.

Franchise. A licence to operate a business under another company's brand and system, usually for an initial fee plus continuing royalties. Tanzania has no stand-alone franchise statute; franchise relationships are governed mainly by contract and trademark law [S13].

Gross merchandise value (GMV). The total value of goods sold through the platform, including the supplier's share. GMV is not the platform's revenue.

KYC (know your customer). Checks on the identity and legitimacy of a supplier or customer before doing business.

MVP (minimum viable product). The smallest version of a product that can be used by real customers to complete a real job, built to test assumptions rather than to impress.

PDPA. Tanzania's Personal Data Protection Act, 2022. It sets rules for collecting and using personal data and creates the Personal Data Protection Commission (PDPC) [S14].

PSP (payment service provider). A licensed company that processes payments. In Tanzania, payment services are regulated by the Bank of Tanzania.

Reconciliation. The routine matching of what the platform's order records say, what the payment provider actually settled, and what was paid out to suppliers. Poor reconciliation is how marketplaces lose money quietly.

RACI. A responsibility chart: who is **R**esponsible for doing the work, who is **A**ccountable for the result, who must be **C**onsulted, and who is **I**nformed.

SLA (service level agreement). A written promise about performance, such as delivery within 48 hours or response to a complaint within one working day, with consequences if it is missed.

Take rate. See commission. It can be calculated on gross sales or on net sales after returns; this document is explicit about which one is used.

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1. Executive summary

1.1 The idea

The group is exploring a curated, multi-vendor online marketplace for Tanzania, operating initially in Dar es Salaam. Independent verified shops would list their products; the platform would bring customers, collect payment, coordinate delivery through a licensed carrier, handle customer service and stand behind the transaction when something goes wrong.

The proposed launch assortment is **everyday home, kitchen and small electrical goods** in the TZS 30,000–250,000 price band, sold by 25–40 verified Dar es Salaam suppliers. This is narrower than “sell everything”. The narrowness is deliberate: it keeps delivery manageable, reduces counterfeit and warranty risk, and lets a small team become genuinely good at one promise before expanding.

The business would be **asset-light**. It would not buy stock, own warehouses or run its own fleet at pilot stage. It would earn a commission on sales, a small supplier subscription, a delivery coordination fee and, later, sponsored placement. Suppliers would hold stock and pack orders. A licensed carrier would move parcels. A licensed payment provider would collect money.

Usiri Group of Companies is one possible partner for the delivery and brand layer. **It is not a partner today.** The group has not approached Usiri for this project, has no term sheet, and has no confirmation that Usiri offers an API, a franchise, a rate card or any willingness to support a marketplace. The pilot plan is designed so that it can proceed with an independent brand and at least two carriers if Usiri declines or negotiations stall.

1.2 Why the group thinks there is an opportunity

Three facts shape the opportunity, and one caution shapes the plan.

The first fact is connectivity. Tanzania had about **49.3 million internet subscriptions** and **35.29% smartphone penetration** by March 2025, with 4G coverage reaching about 91% of the population [S5]. People can reach an online shop far more easily than they could a decade ago.

The second is payment. The Bank of Tanzania reports about **75.78 million active mobile money users** and **2.79 million mobile money merchants** in 2025, with person-to-business mobile money transactions worth TZS 37.5 trillion [S6]. Paying a stranger remotely is now normal behaviour, not an exotic act.

The third is the gap left by the market. Jumia, the best-known pan-African marketplace, stopped its Tanzanian e-commerce operations in November 2019 [S9]. As of November 2025 it was reported to be *considering* a return, but no launch had been confirmed [S10]. In the meantime, much online buying happens through Instagram, WhatsApp and Facebook pages, where the seller and buyer negotiate manually and trust depends on screenshots and reputation. Classifieds sites list goods but do not fulfil orders.

The caution is that e-commerce in Tanzania has been difficult for well-funded companies, not only for startups. Low average order values, expensive last-mile delivery, weak addresses, returns, counterfeit goods and thin margins are structural. A new marketplace does not make those problems disappear. It has to be designed around them.

1.3 What the numbers say

The financial model in Section 15 and the accompanying workbook is deliberately conservative. It assumes an average order value of TZS 75,000, a commission of 8% on net sales after returns, payment fees of 2.5%, a 4% return rate, a support cost of TZS 700 per order and a delivery coordination margin of TZS 500 per order.

On those assumptions, each order contributes about **TZS 3,730** towards fixed costs. That single number drives the whole business.

Scenario	Monthly fixed costs	Orders needed to break even	Orders per day	12-month funding need (incl. 10% buffer)
Lean	TZS 2.2m	**295**	about 10	**TZS 31.17m**
Moderate	TZS 5.6m	**1,206**	about 40	**TZS 129.75m**
Ambitious	TZS 12.0m	**2,922**	about 97	**TZS 324.89m**

[Assumption-based model; see Section 15 and the workbook.]

The pilot target is 900 completed orders per month by month six. At 900 orders, the lean structure is profitable at the contribution level but the moderate structure is still losing money: a worked example at 1,000 orders shows revenue of TZS 7.86m, contribution of TZS 4.83m and fixed costs of TZS 5.6m, leaving a **net loss of about TZS 770,000 for the month**. That is the most important finding in this document. A marketplace at pilot scale is a small, fragile business. It becomes attractive only when order volume rises, fixed costs stay controlled, and ancillary revenue appears.

The lean scenario is the only one a student group could plausibly fund from savings and small contributions. It requires about 295 orders a month to break even, or roughly ten orders a day — achievable in principle, but not guaranteed. The moderate scenario requires outside capital and a much stronger operating team. The ambitious scenario is included to show what “doing this properly” would cost, not as a recommendation.

1.4 The proposed relationship with Usiri

Usiri Group of Companies describes itself as a Tanzanian transport and services group with more than six years of operation, 50+ routes, 100+ agents, cargo and parcel carriage, bus ticketing and car rental [S1][S2]. Those are **self-reported marketing claims**. During desk research the group could not find a published fleet size, an API, a rate card, standard terms on liability, or a working public tracking page; the tracking link returned HTTP 404 [S4].

The concept therefore treats Usiri as a **candidate counterparty for investigation**, not as a foundation. A future relationship could combine a preferred-carrier agreement, a narrow brand licence, co-marketing and collection-point access. Each element would need its own written terms. The group would contribute demand, technology, supplier relationships, customer service and reporting. Usiri might contribute transport capacity, branch reach, local trust and possibly warehousing. Nothing about equity, exclusivity, fees, data or brand use should be assumed.

Section 5 sets out a negotiation checklist and the fallback: launch under an independent brand with a multi-carrier setup, and revisit Usiri when there is volume and evidence.

1.5 Recommendation

The group should **not** approve a launch today. It should approve a **bounded research phase**: eight weeks, a budget cap of TZS 2–5 million, and a written go/no-go decision at the end. The research must answer the questions that this document cannot answer from a desk: whether customers will pay a delivery fee, which categories they will buy online, what suppliers will accept, what carriers actually charge, and whether a brand licence is affordable and non-exclusive.

The research phase should run in parallel with an independent-brand track, so that the project does not die if Usiri says no. No franchise fee, deposit or brand-specific investment should be paid before due diligence and legal review.

The decision requested from the group is set out in Section 19: approve the research phase, appoint owners, set the budget cap, and agree the evidence thresholds that would justify building an MVP.

2. Problem statement and market opportunity

2.1 The customer problem

A customer in Dar es Salaam who wants to buy a rice cooker, a set of storage containers or a small fan faces a set of ordinary but irritating problems.

Discovery is unreliable. The customer can walk through Kariakoo or a neighbourhood shopping street, but comparing prices and stock across shops takes hours. Online, the same goods appear on Instagram pages, Facebook groups, classifieds sites and scattered WhatsApp catalogues. There is no single place where the offer is complete, current and comparable.

Trust is personal. In social commerce the buyer often pays a deposit or the full amount to a phone number before receiving anything. If the seller disappears, the buyer’s remedy is a phone call, a report to the platform (if any) and luck. Reputation travels through word of mouth, which does not help a first-time buyer.

Delivery is negotiated, not designed. A seller may deliver personally, use a bus parcel service, or ask the customer to collect. Delivery times are vague, packaging is improvised, and responsibility for damage is unclear. The customer bears the uncertainty.

Returns are awkward. If the item is wrong, damaged or not what was pictured, the customer must argue with the seller. Many sellers do not accept returns. The customer’s fallback is to stop buying online.

Payment is not the bottleneck any more. Mobile money is widespread [S6]. The bottleneck is confidence that the goods will arrive as described, on time, with someone accountable if they do not.

2.2 The supplier problem

A small, legitimate shop has the opposite set of problems.

It has good products and local knowledge, but limited digital reach. It can post on Instagram, but cannot easily manage a catalogue, calculate delivery, reconcile payments or handle returns at scale. It does not want to hand over its customer relationships or its margins. It has heard stories of online sellers being defrauded by fake payment screenshots and of marketplaces paying suppliers late.

A credible marketplace must therefore solve the supplier’s problems too: predictable payouts, clear rules, manageable order flow, and a credible promise that the platform will not compete with the supplier by selling the same goods at a lower price.

2.3 The market context, in numbers

Tanzania’s digital and payment infrastructure has improved faster than its organised e-commerce sector. The table below separates what is measured from what is estimated.

Indicator	Figure	Source and caution
Population	61.74 million	2022 Population and Housing Census [S20].
Dar es Salaam region population	about 5.38 million	2022 census [S20]. The initial market is a subset of this.
Internet subscriptions	49.3 million	TCRA, quarter ending March 2025 [S5]. Subscriptions are not unique users.

Indicator	Figure	Source and caution
Smartphone penetration	35.29%	TCRA, March 2025 [S5]. Feature phones remain important.
4G population coverage	about 91%	TCRA, March 2025 [S5]. Coverage is not usage.
Active mobile money users	75.78 million	Bank of Tanzania, 2025 [S6]. Includes multiple accounts per person; not unique adults.
Mobile money merchants	2.79 million	Bank of Tanzania, 2025 [S6].
Person-to-business mobile money value	TZS 37.5 trillion	Bank of Tanzania, 2025 [S6]. Flows, not retail sales.
E-commerce market size, 2025	USD 693.11 million	Trade.gov, citing a third-party estimate, +7% [S7].
Alternative e-commerce estimate, 2025	USD 536 million	eCommerceDB, 15–20% growth [S8]. Conflicts with the figure above.

The two market-size estimates differ by about 29%. They use different definitions, include different categories and are built with different methods. Neither is an audited measurement of Tanzanian retail e-commerce. The honest conclusion is that the addressable online market is **in the range of USD 0.5–0.7 billion**, growing, and small relative to total retail. The document uses the range, not a single number.

It is also important not to convert national statistics into a market forecast. Fifty million internet subscriptions do not mean fifty million online shoppers. A large share of mobile money activity is person-to-person transfers, airtime and bill payments, not shopping [S6]. The gap between “connected” and “willing to buy goods online” is exactly what the research phase must measure.

2.4 Why the opportunity exists anyway

The market is not empty. Jiji and Kupatana list goods; Kikuu sells cross-border products; Dar Shopping and various Facebook and Instagram sellers serve local demand; brand stores and supermarkets sell online in a limited way. The opportunity is not “no one is online”. It is that **no locally dominant operator has combined curated supply, reliable delivery and buyer protection at scale** since Jumia’s exit.

That combination is hard, which is why it is valuable if it can be executed. A marketplace that merely lists products competes with free classifieds. A marketplace that guarantees the transaction — verified seller, tracked delivery, clear returns, someone to call — offers something different.

The opportunity statement is therefore narrow and testable:

> For urban households in Dar es Salaam who are willing to buy home and kitchen goods online, the project can build a trusted marketplace that verifies sellers, coordinates delivery and resolves problems, and can earn a commission plus a delivery coordination fee for doing so.

If customers do not value that guarantee enough to pay for it, the idea fails. That is the central hypothesis, not a detail.

2.5 Why previous attempts struggled

A serious concept must explain why Jumia, with far more capital and experience, left Tanzania in 2019 [S9]. Public reporting and the structure of the market suggest several pressures, although the company's full internal reasons are not public:

- **Thin unit economics.** Low average order values and high delivery costs leave little room for commission, especially when customers expect free delivery.
- **Trust and counterfeits.** Marketplaces that host third-party sellers inherit the sellers' quality problems. Returns and disputes are expensive.
- **Fragmented logistics.** Address quality, traffic and the cost of failed deliveries make last-mile delivery difficult and costly.
- **Cash-on-delivery and payment risk.** Where customers pay on delivery, refusal rates are high and cash handling is expensive. Where they pay upfront, trust must be earned.
- **Capital intensity.** Building demand, supply and logistics at the same time requires years of investment before contribution covers fixed costs.

These pressures have not disappeared. The project's answer is not to ignore them but to start smaller: one city, one assortment, a limited number of verified suppliers, a manual logistics pilot, and a cost structure that a small group can actually fund.

2.6 What would make the opportunity real

The opportunity becomes investable only if four conditions hold. Each is a research question, not a conclusion:

1. **Customers will pay.** A meaningful number of customers will buy at least twice a year and will pay a delivery fee rather than abandon the order.
2. **Suppliers will supply.** At least 25 credible suppliers will list real stock, accept the commission, pack to a standard and accept returns.
3. **Delivery can be coordinated.** A carrier will move parcels reliably at a cost that leaves a margin after the customer's delivery fee.
4. **The economics work at reachable volume.** Contribution per order and fixed costs produce a break-even volume that the team can reach within 12–18 months.

If any of these fails, the model must change. Section 14 sets out the tests and Section 19 sets out the decision rules.

3. Vision, mission and twelve-month objectives

3.1 Vision

> **To make buying from trusted Tanzanian sellers as reliable as walking into a shop.**

The vision is about reliability, not technology. The platform succeeds when a customer can order from a shop they have never visited, pay remotely, and receive the right item on time — and when something goes wrong, they know who will fix it.

3.2 Mission

> **To operate a curated marketplace that verifies sellers, coordinates delivery and stands behind every order.**

Three words carry the strategy: **curated** (not everything, not every seller), **coordinated** (the platform owns the handoffs, even when a carrier moves the parcel), and **stands behind** (the platform does not disappear when there is a dispute).

3.3 Values and operating principles

Value	What it means in practice
Trust before growth	Do not list a seller who cannot be verified, even if the seller would bring sales.
Frugality	Spend on things that directly improve delivery, trust or repeat purchase. Do not spend on logo polish or a large office.
Transparency	Publish commission, delivery, return and payout rules in plain language.
Local partnership	Work with Tanzanian shops and carriers rather than displacing them.
Data care	Collect the minimum customer data needed, protect it, and never sell it.
Honest measurement	Report returns, failures and losses, not only GMV.

3.4 Twelve-month objectives

The following objectives are **hypotheses with numbers attached**, not commitments. They are set for the first twelve months from the start of the pilot, not from today. Baselines are unknown, so targets are expressed as absolute levels and will be revised after the research phase.

#	Objective	Target	Why it matters	Owner
O1	Complete customer and supplier research	30 customer interviews, 15 supplier interviews, 150+ survey responses, 8 mystery shops	Replaces opinion with evidence before spending on build	CEO

#	Objective	Target	Why it matters	Owner
O2	Sign pilot suppliers	40 verified suppliers by month 3; 60 by month 6	Supply depth is the first constraint on assortment	COO
O3	Build a usable catalogue	600 active products by month 3; 1,200 by month 6	Customers need choice; too much choice creates operational chaos	COO
O4	Reach pilot demand	900 completed orders in month 6	Tests whether the unit economics can work at small scale	CEO
O5	Protect delivery reliability	At least 90% on-time delivery; damage and loss below 2%	Delivery failure destroys trust faster than low prices build it	Ops lead
O6	Keep returns manageable	Return rate below 5% (electronics may be higher)	Returns consume margin and support time	COO
O7	Acquire customers affordably	Cost per first-time buyer at most TZS 8,000	Paid acquisition must not exceed contribution	Growth lead
O8	Earn repeat business	At least 20% of buyers order again within 90 days	A marketplace without repeat purchase is a continuous ad campaign	CEO
O9	Reach contribution margin	At least 4% of gross order value by month 6	The business must fund its own variable costs	Finance lead
O10	Resolve complaints	90% of complaints resolved within 48 hours	Trust is built in the exception, not the ordinary order	Support lead
O11	Achieve legal baseline	PDPC registration, FCC standard-form filing, written supplier and carrier contracts	Operating without these creates existential risk	Finance & compliance
O12	Produce an honest pilot report	Unit economics, cohort retention, exception log and a go/no-go recommendation	The group must be able to stop as well as start	CEO

Two disciplines apply to all twelve. First, **no target is a promise to investors**; the group has no investors at the time of writing. Second, **a missed target is data**, not a failure of character. The monthly review should ask what the miss reveals about the model, not who to blame.

3.5 The twelve-month sequence in one paragraph

Months 1–2 are research and partner conversations. Months 3–4 are legal setup, supplier onboarding and MVP build. Months 5–6 are a controlled pilot in Dar es Salaam with a small assortment. Months 7–12 are iteration: fix the biggest operational failure, deepen the best-selling categories, and decide whether the unit economics justify expansion to a second city or a second customer segment. The detailed roadmap is in Section 16.

4. Business model

4.1 What kind of business is this?

The project is a **managed multi-vendor marketplace**. “Multi-vendor” means many independent sellers list on one platform. “Managed” means the platform does not simply host listings; it verifies sellers, collects payment, coordinates delivery, handles returns and answers the customer. The distinction matters because a classifieds site earns from visibility, while a managed marketplace earns from completing transactions and therefore has to control the experience.

The business sits between five groups: customers, suppliers, carriers, payment providers and regulators. The platform’s job is to make the handoffs between them reliable and to charge for that reliability.

Building block	What the platform does	What it does not do at pilot stage
Demand	Marketing, curation, search, merchandising, promotions	Buy traffic at any cost
Supply	Recruit, verify, onboard and monitor suppliers	Hold supplier stock
Fulfilment	Route orders, book carriers, track parcels, manage exceptions	Own a fleet or warehouse
Payment	Collect through a licensed provider, reconcile, pay suppliers	Hold customer funds as an unlicensed deposit-taker
Trust	Buyer protection, returns, reviews, dispute resolution	Guarantee product quality it cannot inspect
Data	Report sales, conversion, delivery performance and supplier scorecards	Sell personal data

4.2 Why asset-light

An asset-light model keeps the initial capital requirement within reach of a small founding group. It also converts fixed costs into variable costs: the platform pays a carrier per parcel rather than buying a van, and pays a supplier when a sale occurs rather than buying stock that may not sell.

The trade-off is control. When a carrier is late or a supplier packs badly, the customer blames the platform. The platform therefore has to invest in **contracts, standards, monitoring and exception handling** — the “soft assets” that make an asset-light model work. Saving money on those is a false economy.

Asset-light does not mean risk-free. The platform may still be liable to the customer for a failure by a supplier or carrier, depending on the terms it publishes and the law. Section 12 discusses this.

4.3 The model options compared

The group considered several ways to structure the business. They are not equally suitable.

Model	How it works	Capital need	Control over experience	Speed to launch	Main risk	Fit for this group
Inventory retailer (classic shop or online store)	Buy stock, hold it, sell it, deliver it	High	High	Medium	Unsold stock, working capital, warehousing	Poor at pilot stage

Model	How it works	Capital need	Control over experience	Speed to launch	Main risk	Fit for this group
Amazon-style 3P marketplace	Third parties sell; platform provides demand and fulfilment services	Medium–high	Medium	Slow	Complexity, logistics cost, seller quality	Too heavy initially
Alibaba-style B2B	Connect businesses to businesses, often cross-border	Medium	Low–medium	Medium	Different customer, longer sales cycle	Not the proposed customer
Dropshipping	Supplier ships directly to customer; platform markets	Low	Low	Fast	Quality, delivery time, no control, weak trust	Only as a fallback for long-tail goods
Brand licensing / franchise	Operate under an established brand and system for fees	Low–medium	Medium (system rules)	Medium	Fees, restrictions, dependence, brand risk	Possible layer, not the whole model
Joint venture with a carrier	Shared equity company with a logistics partner	Medium	Medium–high	Medium	Governance, unequal bargaining power, slow decisions	Premature before evidence
Managed marketplace, asset-light	Curate sellers, coordinate carriers, own trust and software	Low–medium	Medium–high	Medium	Thin margins, operational complexity	**Best fit, with staged investment**

Recommendation. Start as a **managed marketplace with asset-light operations**. Do not buy stock. Do not buy vehicles. Do not sign a franchise or joint venture before the research phase. Use a brand licence only if it is non-exclusive, affordable and terminable, and only after legal review. Treat dropshipping as a limited supplement for bulky or slow-moving items, not as the core, because it undermines the delivery promise.

This recommendation is conditional. If research shows that customers will not pay a delivery fee and suppliers will not accept an 8% commission, the managed marketplace may not be viable at all, and the group should consider a narrower service (for example, delivery-only for existing shops) rather than forcing the original idea.

4.4 How the platform makes money

There are four revenue lines, in order of importance at pilot stage:

1. **Commission on completed sales.** A percentage of the net value of goods after returns. The model uses 8%, to be tested between 6% and 12%.
2. **Supplier subscription.** A monthly fee for a storefront, catalogue tools and analytics. The model assumes TZS 600,000 per month in total, for example 30 suppliers at TZS 20,000. This must be tested; many small suppliers will resist any fixed fee.
3. **Delivery coordination fee.** A fee for booking, labelling, tracking and handling exceptions, separate from the carrier’s charge. The model uses TZS 1,000 per order with TZS 500 of direct cost.
4. **Sponsored placement.** Paid visibility for suppliers, introduced only when there is enough traffic for visibility to be worth buying. The model assumes TZS 500,000 per month from month six.

A fifth line, **payment fee markup**, is deliberately excluded. The platform should pass through the licensed provider's cost rather than add a hidden margin that makes the service look expensive.

Section 9 works through the numbers, including what is revenue and what is merely money passing through the business.

4.5 The operating model in one page

Question	Proposed answer	Why
Who owns the stock?	The supplier, until the customer receives it.	Avoids working capital and unsold inventory.
Who sets the price?	The supplier, within a published range and with platform approval for promotions.	Preserves supplier autonomy while preventing price confusion.
Who collects payment?	A licensed payment provider, with the platform as merchant of record for its fees.	Keeps the platform inside payment rules.
Who delivers?	A licensed carrier, booked by the platform; a second carrier is qualified before pilot.	Avoids owning a fleet and reduces dependence.
Who handles returns?	The platform owns the customer conversation; the supplier bears the cost when the fault is theirs; the carrier bears loss or damage under its terms.	Makes responsibility explicit rather than argued case by case.
Who owns the customer relationship?	The platform owns the customer account and service experience; the supplier sees order data needed to fulfil, not the full customer profile.	Protects trust and data, and reduces disintermediation.
Who pays for marketing?	The platform, funded by commission and subscriptions; suppliers may co-fund promotions.	Aligns cost with the party that benefits from demand.
What is the exit?	Not defined. Do not plan an exit before proving a business.	Prevents pitch-driven decisions.

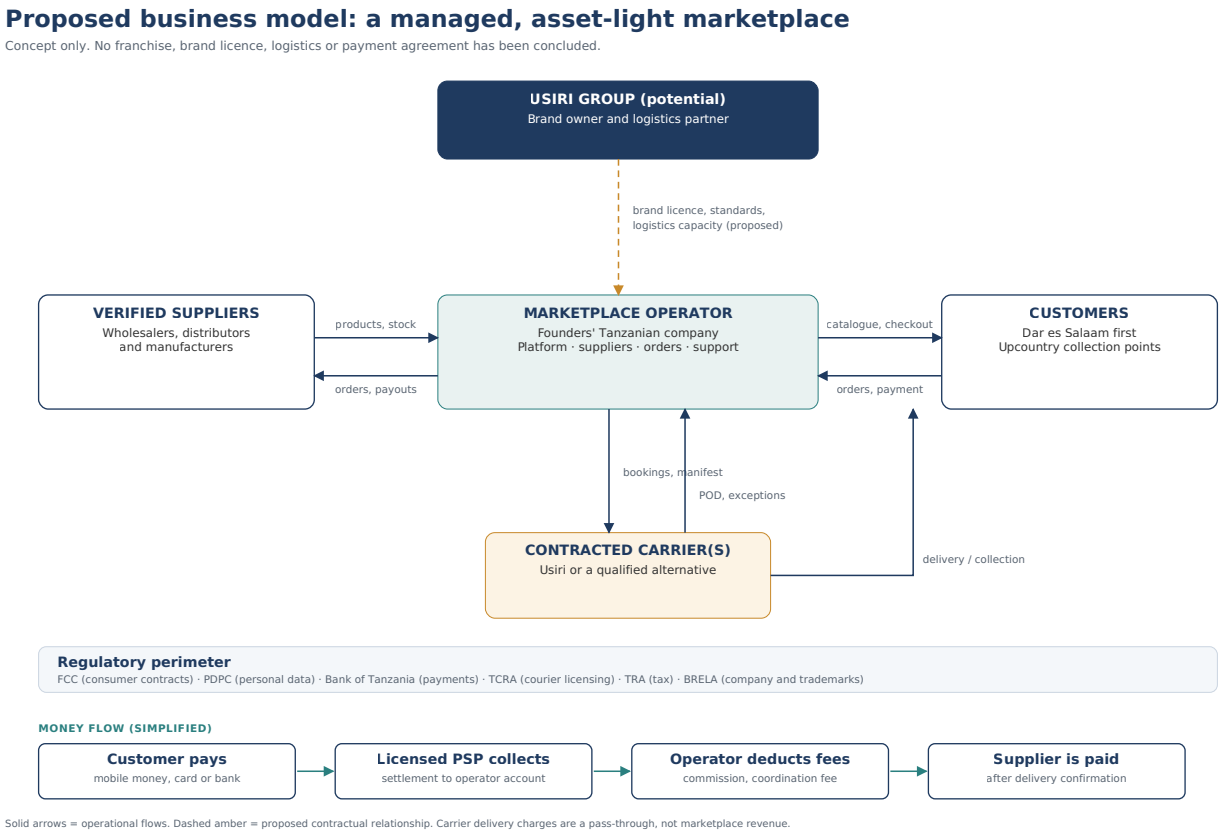


Figure 1. The proposed business model: five actors, the regulatory perimeter and the money flow. Usiri is shown as a potential partner, not a confirmed one.

4.6 What must be true for the model to work

The model rests on six assumptions. Each is a test for the research phase.

1. **Customers will pay for reliability.** The delivery fee plus the product price must be acceptable relative to Kariakoo or a local shop.
2. **Suppliers will accept the commission and the rules.** An 8% commission plus a subscription must leave enough margin for a shop that already operates on thin margins.
3. **Delivery can be bought at a predictable rate.** The carrier’s charge must be known per parcel, not negotiated after the fact.
4. **Returns can be kept below 5%.** Product photography, descriptions, sizing and quality checks must reduce surprises.
5. **Fixed costs can stay lean.** The team must resist hiring and office spending before volume arrives.
6. **Ancillary revenue is real, not imaginary.** Supplier subscriptions and sponsored placement must be paid by someone, not just modelled.

If assumptions 1–4 fail together, the business is not viable in its current form. If they hold but growth is slow, the lean scenario can survive longer than the moderate one.

4.7 A note on the word “franchise”

The brief asks whether the project could be a franchise. A franchise usually means a licence to operate a proven business system under a brand, with an initial fee, continuing royalties, territory rights, training and standards. Tanzania has no stand-alone franchise law; the relationship is governed mainly by contract and trademark law, with tax treatment to be confirmed [S13].

A franchise could be one layer of this project — for example, a licence to use the Usiri name and its branch network for parcel drop-off. It cannot substitute for the underlying business model. Paying a franchise fee does not create demand, solve delivery or make customers trust the platform. That is why the financial model treats any franchise fee as a **placeholder** and why the recommendation is to defer it until the research phase produces evidence.

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5. The proposed relationship with Usiri Group of Companies

5.1 What is known, and what is not

Usiri Group of Companies is a Tanzanian company whose public website describes cargo, parcel and luggage transport, car rental and bus ticketing. Its About page states “6+ Years of Service”, “50+ Routes”, “100+ Agents”, “10k+ Trips Completed” and “5k+ Happy Customers” [S1]. Its transportation page describes carriage of goods, parcels and luggage, with routes including Dar es Salaam to Dodoma, Arusha, Mwanza and Mbeya, and refers to 100+ agents [S2]. A locations page lists branches, but the group has not verified each address [S3].

These are **self-reported marketing claims**. They are a reasonable basis for a conversation, not for a contract. The following are unknown or unverified:

- Fleet size, vehicle types, ownership versus subcontracting, and age of vehicles.
- Actual on-time performance, loss and damage rates, and claims history.
- Parcel volume capacity on each route and during peak seasons.
- Whether there is a public or private API for booking and tracking. None is published.
- Whether there is a rate card, volumetric weight rule, fuel surcharge or minimum charge. None is published.
- Standard terms on liability, insurance and claims. Not published in a form the group could review.
- Whether the company has any interest in e-commerce, franchising or brand licensing.
- Who has authority to negotiate and sign.
- Whether the tracking link works. At the time of review it returned HTTP 404 [S4].

The group must not fill these gaps with assumptions. The first meeting with Usiri should be a **request for information**, not a pitch asking for a favour.

5.2 What a partnership could look like — three separable layers

A common mistake is to discuss “partnership” as one undifferentiated deal. It is clearer to separate three layers, each with its own terms and its own walk-away point.

Layer 1 — Commercial carrier agreement. The platform books parcels with Usiri at agreed rates and service levels. This is the simplest and most valuable layer. It requires no brand licence, no equity and no franchise fee. It can be tested with a small pilot volume.

Layer 2 — Brand licence. The platform uses the Usiri name and marks in a defined way, for a defined territory and period, subject to quality control. This may help trust, but it also creates dependence and reputational risk for both sides. It requires a written licence, trademark checks, approval rights and termination provisions.

Layer 3 — Franchise or joint venture. A deeper arrangement involving system standards, fees, territory, training, possibly equity. This is the most complex and the least justified before a pilot. It should be deferred.

The recommended sequence is Layer 1 first, Layer 2 only if the pilot works and the brand owner is willing, and Layer 3 only after a year of data and professional advice.

5.3 What each side could contribute

The table describes a possible division of contribution. It is **not agreed** and should be treated as a starting point for negotiation.

Area	Platform would contribute	Usiri might contribute	Open questions
Demand	Marketing, customer acquisition, catalogue, promotions	Brand trust, branch footfall, co-marketing	Who pays for co-marketing? Who owns leads?
Supply	Supplier recruitment, verification, onboarding, quality standards	Introductions to existing cargo customers	Exclusivity? Data sharing?
Delivery	Order routing, labels, tracking updates, exception desk	Line-haul, last-mile, collection points, parcel handling	Rates, SLA, liability, capacity, peak limits
Technology	Marketplace, supplier portal, admin, reporting	Possible tracking data or API	Is there an API? Who pays for integration?
Payments	Licensed PSP integration, reconciliation, supplier payouts	Possibly collection at branches	Who holds funds? What are the settlement times?
Brand	Independent brand and customer promise	Licence of name and marks, if willing	Scope, quality control, fee, termination
Data	Customer and order data, analytics	Parcel status data	PDPA roles, ownership, retention, breach notice
Risk	Buyer protection reserve, insurance review	Carrier liability, goods-in-transit cover	Who compensates whom, within what limit?

5.4 What the platform would need from Usiri, in writing

Before any pilot order is handed over, the group should obtain a written response to the following. A verbal assurance is not enough.

1. Legal entity name, registration number, TIN and VAT status.
2. Service scope: which routes, which parcel types, which weight and size limits.
3. Rate card: per kilogram, volumetric weight, minimum charge, fuel surcharge, remote-area surcharge, waiting time, redelivery fee.
4. Transit times by route, with a definition of “on time”.
5. Cut-off times and pickup versus drop-off arrangements.
6. Tracking: whether parcel status can be shared, by what method, and at what frequency.
7. Proof of delivery: photo, signature, ID check, or code.
8. Liability: maximum compensation per parcel, exclusions, claims window, process and payment time.
9. Insurance: whether goods in transit are covered, by whom, and for what value.
10. Capacity: expected volume limits, peak-season constraints, contingency plans.
11. Payment terms: prepaid, credit, deposit, reconciliation cycle, penalties.
12. Termination: notice period, outstanding parcels, transition support.
13. Data protection: what parcel data is shared, for what purpose, and under what roles.
14. Brand use: whether any use of the name is permitted, and on what terms.
15. Franchise interest: whether the company is open to a franchise or licence discussion, and with whom.

5.5 Negotiation checklist

The checklist below is for the group’s internal preparation. It is not a script to read to Usiri.

Topic	Position to seek	Walk-away condition
Scope	Start with one corridor and one city; expand on performance	Demand for a large minimum volume before a pilot
Exclusivity	Non-exclusive; platform may use a second carrier	Exclusive commitment without volume guarantees
Rates	Fixed rate card for 6 months; clear surcharges	Open-ended pricing or rates revised after onboarding
Service level	Written on-time and claims targets with remedies	Refusal to state any service level
Liability	Clear compensation for loss and damage; insurance evidence	Liability capped below parcel value with no insurance
Brand	Narrow, terminable licence; no fee before pilot	Upfront franchise fee with no pilot evidence
Term	12 months with 60-day termination	Multi-year lock-in with penalties
Data	Parcel status data shared; PDPA-compliant roles	No data-sharing agreement
Payment	Weekly or bi-weekly settlement; clear reconciliation	Cash collection without controls
Performance review	Monthly scorecard; joint review	No review mechanism
Dispute resolution	Negotiation, then mediation or arbitration in Tanzania	Foreign jurisdiction with high cost
Exit	Return of parcels, handover of tracking data	No exit plan

5.6 Brand ownership and the limits of permission

The Usiri name, logo and any related marks belong to their owner. The platform cannot use them without a written licence. A licence should specify:

- The exact marks and the permitted form.
- The products and services covered.
- The territory.
- The quality standards the platform must meet.
- Approval rights over marketing material.
- Whether the platform may describe itself as “authorised” or “official”.
- The fee or royalty, if any.
- Insurance and indemnity.
- Termination and the wind-down period.
- What happens to the domain name, social accounts and customer data after termination.

The platform should own its software, its own brand (if independent), its supplier agreements and its customer database, subject to data protection law. Building all goodwill into a mark the platform does not own is a strategic risk. If the relationship ends, the customers may follow the brand, not the platform.

5.7 Fallback if Usiri declines or talks stall

The project must be able to proceed without Usiri. The fallback is not a consolation prize; it is the base case.

- **Independent brand.** Launch under a name the group owns and can register. Do not imitate Usiri's marks or imply endorsement.
- **Multi-carrier.** Qualify at least two licensed carriers before pilot. Use a carrier-agnostic adapter so switching is possible.
- **Own collection points.** Negotiate with shops, cafés or offices for parcel collection, rather than relying on a partner's branches.
- **Separate logistics from brand.** A good carrier agreement is valuable even if no brand licence is ever signed.
- **Revisit later.** If the pilot works, the group will approach Usiri with data, not a request. That is a stronger negotiating position.

5.8 How to approach Usiri professionally

1. **Prepare a one-page brief.** Who the group is, what the pilot is, what is being requested, and what is not being requested. Keep it factual and free of inflated projections.
2. **Request a meeting with the right person.** Ask who handles partnerships, cargo operations and commercial terms. Do not pitch to a branch clerk and treat it as company approval.
3. **Ask, do not assume.** Use the information request in Section 5.4. Take notes and send a written summary after the meeting.
4. **Do not pay anything at the first meeting.** No deposit, no "commitment fee", no franchise fee. Ask for documents and take them away for review.
5. **Involve a lawyer before signing.** A transport agreement, a brand licence and a franchise are different documents with different risks.
6. **Record the decision.** If Usiri declines, write down the reason and the date. It is useful evidence for the group and for future partners.
7. **Protect confidentiality.** Do not share customer data, supplier lists or pricing without an NDA where appropriate.

5.9 What success would look like at the end of partner discussions

A successful Phase 3 would produce, at minimum:

- A named contact and a written expression of interest (not a contract).
- An indicative rate card for the pilot corridor.
- A draft service level and claims process.
- A clear answer on API/tracking capability.
- A clear answer on brand licence willingness and any fee expectation.
- A decision by the group on whether to proceed to commercial negotiation.

If those do not exist, the group should proceed on the independent track and treat Usiri as a future option.

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6. Stakeholders and responsibilities

6.1 Stakeholder map

Stakeholder	Interest	Influence	What they need from the project	Engagement approach
Founders / board	Return, purpose, control	High	Clear strategy, honest numbers, defined roles	Weekly stand-up; monthly board
CEO	Execution and viability	High	Authority, information, team	Decision rights in Section 6.3
CTO	Buildable, secure system	High	Requirements, budget, time	Product backlog; security review
COO	Suppliers, delivery, service	High	Standards, tools, carrier terms	Weekly ops review
Finance & compliance	Cash, tax, legal	High	Records, reconciliation, deadlines	Monthly close; compliance calendar
Growth & marketing	Demand, brand	Medium	Budget, analytics, offers	Weekly funnel review
Suppliers	Sales, timely payout, fair rules	Medium–high	Clear contract, orders, payment	Onboarding; monthly scorecard
Customers	Right product, on time, fair remedy	High	Trust, tracking, support	Support; reviews; surveys
Carriers	Volume, predictable handover, payment	Medium–high	Manifest, labels, SLA, settlement	Monthly performance review
Payment provider	Compliance, low fraud, volume	Medium	KYC, integration, reconciliation	Quarterly review
Usiri (potential)	Strategic value, brand risk, revenue	High if engaged	Clear proposal, data, legal terms	Formal meetings; written record
PDPC	Data protection compliance	High (regulatory)	Registration, DPO, breach process	Registration; legal advice
FCC	Consumer contract fairness	High (regulatory)	Standard-form filing, complaints	Filing; legal advice
TCRA	Courier licensing, addressing	Medium	Compliance if acting as courier	Legal advice; carrier uses licensees
TRA	Tax registration and payment	High (regulatory)	TIN, VAT, returns, invoices	Accountant; monthly filing
Bank of Tanzania	Payment system rules	High (regulatory)	Licensed PSP, no illegal deposit-taking	PSP agreement; legal review
Investors / lenders (future)	Return, governance	Medium (not present)	Evidence, controls, reporting	Do not approach before pilot data
Advisers	Professional standards	Medium	Clear brief, timely instructions	Retainer or per-matter
Community / neighbours	Noise, employment, reputation	Low–medium	Respectful operations	Local communication

6.2 RACI matrix

R = responsible for doing the work. **A** = accountable for the result (one per row). **C** = consulted. **I** = informed. Where a role is not yet filled, the founder group acts collectively and the gap is recorded.

Activity	Founders/ Board	CEO	CTO	COO	Finance & Compliance	Growth	External adviser
Concept and strategy	A	R	C	C	C	C	I
Research programme	I	A/R	I	R	C	C	C
Partner (Usiri) engagement	A	R	C	C	C	I	C
Legal structure and registrations	A	C	I	I	R	I	C
Brand and licence negotiation	A	R	I	I	C	C	C
Fundraising / budget approval	A/R	C	C	C	C	I	I
Supplier recruitment and KYC	I	A	I	R	C	C	I
Catalogue and pricing rules	I	A	C	R	C	C	I
MVP requirements	I	A	R	C	C	C	I
MVP build and security	I	A	R	C	C	I	C
Payment integration and reconciliation	I	A	R	C	R	I	C
Delivery operations and carrier SLAs	I	A	C	R	C	I	I
Customer support and returns	I	A	C	R	C	I	I
Marketing and acquisition	I	A	C	C	C	R	I
Data protection and PDPA	I	A	R	C	R	I	C
Consumer contract filing (FCC)	I	A	I	I	R	I	C

Activity	Founders/ Board	CEO	CTO	COO	Finance & Compliance	Growth	External adviser
Financial reporting and tax	A	C	I	I	R	I	C
Risk register and review	A	R	C	C	C	C	I
Pilot evaluation and go/no-go	A	R	C	R	R	C	C

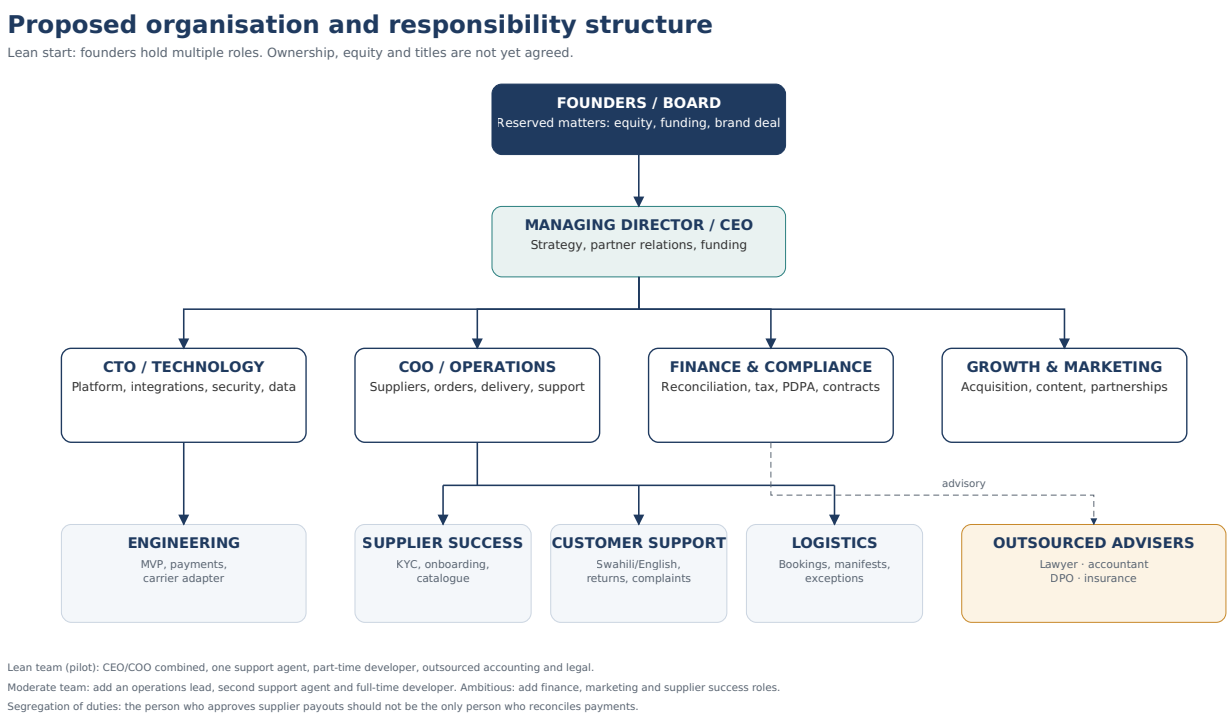


Figure 2. Proposed organisation and reporting structure for the pilot. Boxes show functions, not yet hires.

6.3 Decision rights

A small founding group often avoids formal decision rights because everyone is equal. That works until there is money, a deadline or a disagreement. The group should agree the following in writing before spending the research budget.

Decision	Proposed decision rule
Spend within approved budget	CEO, with finance review above TZS 500,000
Hire or engage a contractor	CEO + one other founder
Change product scope	CEO + CTO + COO
Sign a supplier agreement	COO, using approved template
Sign a carrier agreement	CEO + COO, after legal review
Sign a brand licence or franchise	Unanimous founders + legal advice
Accept investment or debt	Unanimous founders

Decision	Proposed decision rule
Change equity or founder roles	Unanimous founders, written agreement
Stop or pivot the project	Unanimous founders, recorded in minutes
Public statement about Usiri	CEO only, with written approval from Usiri if it names them

6.4 Governance rhythm

- **Weekly operations meeting (60 minutes).** Orders, delivery failures, supplier issues, cash, one priority for the week.
- **Monthly business review (90 minutes).** KPI dashboard, budget versus actual, risk register changes, decisions needed.
- **Quarterly strategy review (half day).** Market changes, unit economics, progress against phase gates, whether to continue.
- **Annual legal and compliance review.** Registrations, contracts, insurance, data protection, tax.

Minutes should record decisions, owners and dates. A decision without an owner and a date is a wish.

6.5 Founder roles, equity and conflict

The group has not agreed ownership, equity splits, salaries or vesting. This document does not assume them. Before the research phase, the founders should put in writing:

- Who is committing full-time, part-time or only capital.
- What each person is contributing and over what period.
- How equity is divided and whether it vests over time.
- What happens if a founder leaves, reduces involvement or disagrees.
- Who owns intellectual property created for the project.
- How expenses are reimbursed and who can commit the company.
- How conflicts of interest (for example, a founder’s family shop supplying the platform) are handled.

These are uncomfortable conversations to have early and much worse to have later. A simple founders’ agreement and IP assignment are more valuable than a polished pitch deck.

7. Customer and supplier journeys

7.1 The customer journey

The journey below describes the intended experience, the failure points that matter, and the controls that keep the promise. It is a design target, not a description of an existing system.

Stage	What the customer does	What the platform must do	Common failure	Control	Metric
1. Discover	Sees an ad, post or referral; visits the site	Show a clear promise, categories and prices; load fast on a phone	Confusing homepage; slow load; no prices	Mobile-first pages; clear delivery promise; search	Visitors, bounce rate
2. Browse	Searches or filters; compares products	Return relevant results; show real stock; explain delivery time	Out-of-stock items; misleading photos	Stock sync; photo standards; “ships in” label	Search-to-product rate
3. Decide	Reads description, reviews, return policy	Give honest specifications, seller info, delivery fee and return terms before payment	Hidden fees; vague warranty	Total price up front; verified badge; plain-language policy	Add-to-cart rate
4. Checkout	Enters address and phone; pays	Validate address; offer mobile money and card; confirm order by SMS	Payment fails; address incomplete; double charge	Address helper; payment retry; idempotency; confirmation	Checkout completion
5. Confirmation	Receives order number and expected date	Tell the supplier; book carrier; send tracking reference	Silence after payment	Automated confirmation; status page	Confirmation within 5 minutes
6. Fulfilment	Waits; may contact support	Monitor packing and handover; update status	Supplier delays; parcel lost	Cut-off times; manifest; exception alert	On-time dispatch
7. Delivery	Receives parcel; checks item	Notify before delivery; obtain proof of delivery	Failed delivery; wrong item; damage	Two attempts; phone call; photo POD; ID check	First-attempt success
8. Aftercare	Keeps, returns or complains	Resolve within 48 hours; process refund; ask for review	No answer; slow refund; blame-shifting	Ticket system; refund SLA; supplier chargeback	Resolution time; CSAT

The moment of truth

The most important moment is not the first page view. It is the **first exception**: the parcel is late, the item is damaged, or the customer changes their mind. A marketplace that handles an exception well earns more trust than one that never has a problem, because the customer learns that someone is accountable. The support desk, the returns policy and the refund process are therefore core product, not back-office overhead.

7.2 The supplier journey

Stage	What happens	Platform requirement	Supplier experience	Metric
1. Outreach	Platform finds shops through field visits, referrals and social media	Clear value proposition; no false promises	Understands what is being asked	Leads contacted
2. Application	Supplier submits business details, ID, TIN, shop address, product list	Simple form; Swahili and English	Low paperwork	Application completion
3. Verification	Platform checks registration, address, references, product samples	KYC checklist; site visit; photo record	Feels professional, not policed	Verification time
4. Contract	Supplier accepts commission, service standards, returns and payout terms	Plain-language agreement; no hidden fees	Knows the rules	Signed agreements
5. Onboarding	Catalogue upload, photography guidance, packaging standard, training	Templates, CSV upload, WhatsApp support	Can list within a week	Time to first listing
6. First order	Supplier accepts, packs, labels and hands over	Order alert; packing slip; cut-off time	Clear instructions	Acceptance rate
7. Fulfilment	Handover to carrier; status update	Manifest; handover receipt	Knows parcel is tracked	Dispatch time
8. Payout	Platform reconciles and pays	Statement; payout schedule; dispute line	Paid on time, with explanation	Payout accuracy
9. Review	Scorecard on cancellations, late dispatch, returns, complaints	Transparent scoring; improvement plan	Fair treatment	Supplier retention

Supplier selection criteria

A supplier should not be listed merely because it has products. The minimum profile for the pilot is:

- A registered business or a verifiable sole trader with a fixed physical shop.
- At least two years of trading, or a credible reference.
- A TIN and a bank or mobile money account in the business’s name.
- At least 30–50 sellable SKUs in the chosen category, with consistent stock.
- Willingness to sign the platform agreement and accept the returns policy.
- Ability to pack to a written standard and meet a daily cut-off.
- No history of counterfeit or consumer-protection complaints that the platform can verify.
- A named contact who answers the phone during agreed hours.

7.3 Multi-supplier orders

A customer may buy three items from three suppliers in one checkout. This is where naive marketplaces break. The platform must decide, before writing code, how a multi-supplier order behaves.

Example. A customer orders:

- a 5-litre pressure cooker from Supplier A: TZS 85,000
- a set of storage containers from Supplier B: TZS 25,000
- a small standing fan from Supplier C: TZS 60,000

Total goods value: TZS 170,000. One delivery address. The platform charges one delivery fee, say TZS 6,000, and a coordination fee of TZS 1,000.

What must happen:

1. **Split fulfilment.** Three supplier sub-orders are created, each with its own status, packing slip and handover record.
2. **Separate commission.** Commission is calculated per line on the net value after any line-level discount and return. The platform does not pay commission on goods that are returned.
3. **One customer order number.** The customer sees one order with three parcels, not three unrelated orders.
4. **Delivery logic.** If all three parcels can be consolidated at one carrier branch, the customer may receive one delivery. If not, the platform must say “two deliveries, arriving on different days” and not surprise the customer.
5. **Partial cancellation.** If Supplier C is out of stock, the customer is told within the promised window, the line is refunded, and the rest of the order proceeds. The delivery fee may need to be adjusted.
6. **Partial return.** If the fan is damaged, only that line is returned. The refund is for the fan plus its share of delivery, not the whole order.
7. **One support thread.** The customer does not have to contact three suppliers. The platform owns the conversation and chases the suppliers.
8. **Supplier accountability.** Late dispatch or cancellation is recorded against the responsible supplier’s scorecard, even if the customer sees only the platform.

Design rule: the customer experiences one order; the platform operates many sub-orders. The data model and the support process must reflect both truths.

7.4 Exception flows

Exception	Who detects it	Immediate action	Customer communication	Cost bearer	Prevention
Supplier out of stock	Supplier or platform	Cancel line; offer substitute or refund	Within 2 hours; apology; refund date	Supplier if at fault; platform reserve if not	Stock sync; weekly count
Late dispatch	Platform	Chase supplier; rebook carrier	Proactive update before the promised time	Supplier if at fault	Cut-off alerts; scorecard
Carrier delay	Carrier or tracking	Open exception; offer new date	Same day	Carrier per SLA	Carrier scorecard; second carrier
Damaged parcel	Customer or carrier	Photo evidence; replace or refund	Within 24 hours	Carrier or supplier per cause	Packaging standard; insurance
Wrong item	Customer	Collect and replace; investigate picking	Within 24 hours	Supplier	Packing checklist; SKU labels
Failed delivery	Carrier	Second attempt; collection point	Same day	Customer if not at home; platform if carrier failed	Phone confirmation; address check
Refund delay	Finance	Trace PSP; escalate	At each status change	Platform	Refund SLA; daily queue

Exception	Who detects it	Immediate action	Customer communication	Cost bearer	Prevention
Fraud suspicion	Risk rules or support	Hold order; verify; refund if needed	Discreet verification	Platform	Velocity limits; device checks

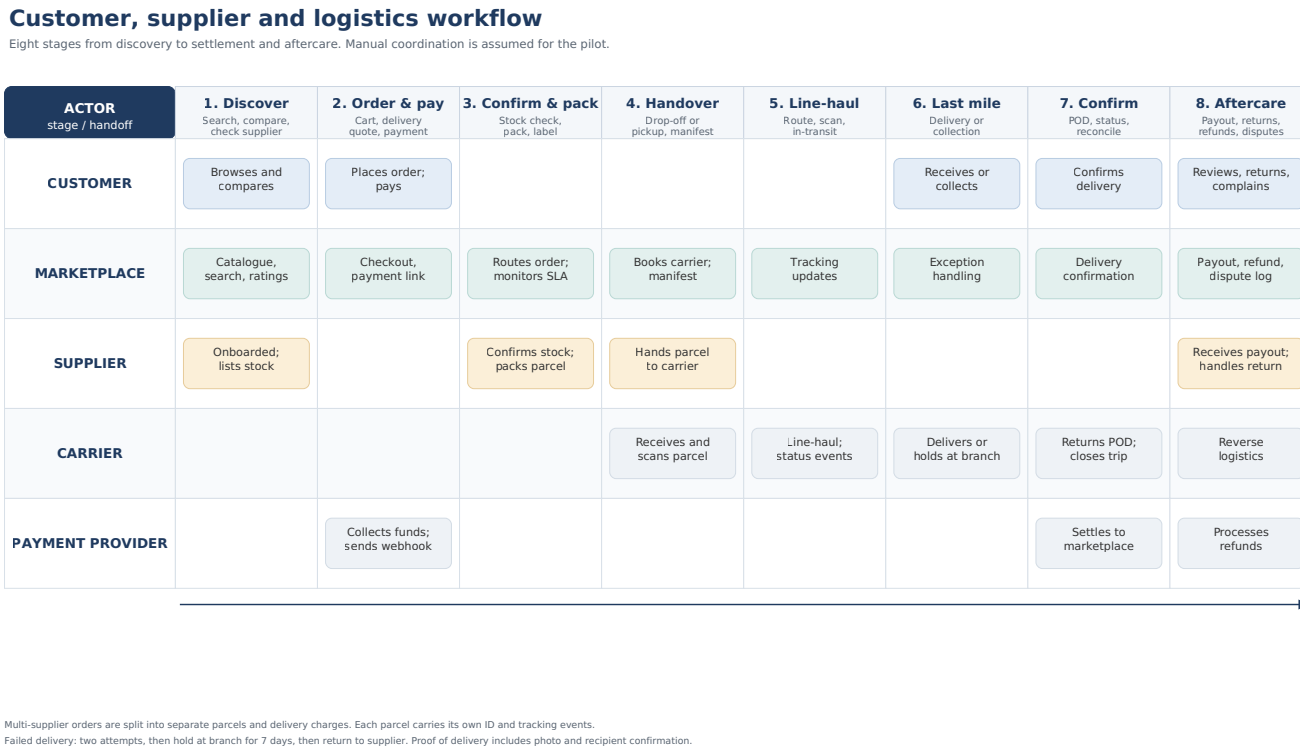


Figure 3. Customer, supplier and logistics workflow across five actors and eight stages.

7.5 Service blueprint summary

The customer-facing promise depends on backstage work that the customer never sees:

- **Front stage:** website, SMS, WhatsApp, delivery call, support line.
- **Back stage:** supplier confirmation, packing checks, carrier booking, manifest, tracking updates, reconciliation.
- **Support processes:** exception queue, claims, refunds, supplier chargebacks.
- **Systems:** order management, carrier adapter, payment reconciliation, notification service.
- **Measures:** on-time dispatch, first-attempt delivery, resolution time, refund time, repeat purchase.

The workflow diagram in `diagrams/workflow.svg` shows the same journey across five actors and eight stages. It is a communication tool for the group, not a technical specification.

8. Products and initial market segment

8.1 Why the first assortment matters more than the platform

A marketplace with “everything” is hard to trust, hard to deliver and hard to market. The first assortment determines the average order value, the return rate, the delivery cost, the supplier profile and the customer’s reason to come back. It is a strategic choice, not a merchandising detail.

The group evaluated nine categories against seven criteria: customer demand, average order value, margin available for commission, return and warranty risk, counterfeit risk, delivery difficulty, and the depth of verifiable suppliers in Dar es Salaam.

Category	Demand	AOV	Commission room	Return / warranty risk	Counterfeit risk	Delivery difficulty	Supplier depth	Verdict
Phones and consumer electronics	High	High	Low–medium	High	High	Medium (theft, damage)	Medium	Attractive but risky as a first category
Small kitchen and home appliances	Medium–high	Medium	Medium	Medium	Medium	Medium	Medium–high	**Recommended core**
Homeware, storage and kitchenware	Medium–high	Medium	Medium	Low	Low	Low–medium (bulky)	High	**Recommended core**
Fashion and footwear	High	Low–medium	Medium	High (size, fit)	High	Low	High	Good later; returns too high initially
Beauty and personal care	High	Low	High	Low–medium (authenticity)	High	Low	High	Good add-on; authenticity controls needed
Baby and maternity	Medium	Medium	Medium	Medium (safety)	Medium	Low	Medium	Good add-on with strict verification
Groceries and fresh food	High	Low	Low	High (perishable)	Low	High (cold chain)	High	Not suitable for this model
Furniture	Medium	High	Medium	Medium	Low	High (bulky, assembly)	Medium	Not initially
Building materials	High	High	Low	Low	Medium	High (weight)	Medium	B2B opportunity later, not consumer pilot

8.2 The recommended initial segment

Customer: urban households in Dar es Salaam, particularly young families and renters in Kinondoni, Ilala and Ubungo, who already buy household goods from Kariakoo or local shops and are comfortable paying by mobile money.

Assortment: everyday home, kitchen and small electrical goods in the **TZS 30,000–250,000** band. Examples: pressure cookers, serving sets, storage containers, kettles, blenders, standing fans, irons, water filters, baby feeding sets and basic personal-care appliances.

Supplier profile: 25–40 verified shops with physical premises, 30–50 sellable SKUs each, a TIN, a business bank or mobile money account, and the ability to pack to a standard.

Geography: Dar es Salaam mainland first. Do not launch in Arusha, Dodoma or Mwanza until the Dar pilot meets its delivery and repeat-purchase thresholds.

Price band rationale: below TZS 30,000, the delivery fee is too large a share of the order and contribution per order collapses. Above TZS 250,000, the customer expects warranties, installation and a level of after-sales service the pilot cannot yet provide. The band is a hypothesis to test, not a rule from heaven.

8.3 Why not electronics first

Electronics look attractive because the average order value is high. They are also the fastest way to destroy a young marketplace.

- **Counterfeits and refurbished goods** are difficult to detect without supplier audits and serial-number checks.
- **Warranty claims** require a process, spare parts and a formal relationship with the brand or importer.
- **Price transparency** is high; customers compare with Jiji, Kariakoo and online sellers, compressing commission.
- **Theft and damage** in transit are expensive relative to the margin.
- **Returns** are costly because the item may be opened, used or devalued.

Small kitchen appliances sit in a useful middle ground: enough value to support a delivery fee, lower counterfeit risk than phones, and simpler warranty handling. Even here, the platform should require a 30-day functional guarantee and a supplier warranty, and should exclude high-value items until operations are stable.

8.4 Why not groceries

Groceries have high frequency but low margins, perishability, cold-chain requirements and basket sizes that rarely cover a delivery fee. A grocery marketplace is a different business with different assets. It is not a sensible first category for an asset-light pilot.

8.5 The initial catalogue plan

Month	Suppliers	Active SKUs	Category mix	Notes
3	40	600	55% kitchenware, 25% small appliances, 20% home storage	Enough choice to test demand; not so much that stock accuracy collapses
6	60	1,200	50% kitchenware, 30% small appliances, 20% home, baby and personal care	Add adjacent categories only if returns and delivery hold
12	90	2,000	Core plus selected fashion, beauty and baby	Expansion depends on meeting Section 8.6 criteria

The numbers are planning targets [Assumption]. They assume each supplier lists 15–25 active SKUs, not its entire inventory. A catalogue full of out-of-stock items is worse than a smaller catalogue that is accurate.

8.6 Expansion criteria

Do not expand because growth feels slow. Expand because the core works. The group should require **all** of the following for two consecutive months before adding a city or a major category:

- At least 90% on-time delivery.
- Return rate below 5%, with no category above 8%.
- Contribution margin at least 4% of gross order value.
- Repeat purchase rate at least 20% in 90 days.
- Supplier retention at least 80% after 90 days.
- Complaint resolution at least 90% within 48 hours.
- No unresolved regulatory or data-protection issue.
- A documented operating playbook that a new hire can follow.

If the core does not meet these thresholds, adding a city multiplies the problem rather than the profit.

8.7 Product and merchandising standards

- **Photography:** plain background, accurate colour, multiple angles, scale reference.
- **Descriptions:** dimensions, materials, power rating, what is in the box, warranty, country of origin where known.
- **Pricing:** total price including VAT where applicable; delivery fee shown before checkout.
- **Stock:** updated at least daily; automatic suppression at zero.
- **Reviews:** only verified buyers; no editing of negative reviews; a right of reply.
- **Prohibited items:** counterfeit goods, expired products, restricted medicines, weapons, hazardous chemicals, stolen goods.
- **Supplier responsibility:** the supplier warrants it has the right to sell the goods and that they comply with applicable standards.

8.8 The segment hypothesis

> Urban households in Dar es Salaam will pay a TZS 5,000–7,000 delivery-related charge for verified home and kitchen goods in the TZS 30,000–250,000 band, and will return within 90 days if the first order arrives on time and as described.

This is the hypothesis the pilot exists to test. If it is false, the segment, the price band or the delivery promise must change. Section 14 explains how the group will know.

9. Revenue model

9.1 Three rules for honest revenue

Rule 1: GMV is not revenue. If a customer pays TZS 100,000 for a cooker, the platform does not earn TZS 100,000. Most of that money belongs to the supplier, the carrier and the payment provider. The platform earns a commission and fees.

Rule 2: Pass-through money is not revenue. Delivery charges collected from the customer and paid to the carrier are pass-through. Counting them as revenue inflates the business and hides a bad margin. They are shown as a memo item, not as income.

Rule 3: Revenue is recognised net of returns and cancellations. A sale that is returned is not a sale. Commission is calculated on net merchandise value after returns, not on the gross order value.

These rules sound obvious. They are frequently ignored in pitch decks, which is why so many marketplaces look bigger and more profitable than they are.

9.2 Revenue lines

Line	Who pays	When	Basis	Model value	Accounting note
Commission	Supplier	On completed order, after return window	8% of net GMV (test 6–12%)	TZS 5,760 per TZS 72,000 net order	Platform revenue; reduce for returns
Supplier subscription	Supplier	Monthly, in advance	Fixed monthly fee	TZS 600,000/month total (e.g. 30 × TZS 20,000)	Platform revenue; may be waived in first 90 days
Delivery coordination fee	Customer	At checkout	Per order	TZS 1,000/order	Platform revenue for booking, labelling and exception handling
Sponsored placement	Supplier	Monthly or campaign	Fixed fee or auction	TZS 500,000/month from month 6	Platform revenue; must be labelled as advertising
Payment fee	Customer or supplier	Per transaction	Pass-through at cost	About 2.5% of net GMV	Not platform revenue; cost recovery
Carrier charge	Customer	At checkout	Per parcel, per rate card	About TZS 5,000/order average [Assumption]	Pass-through; not revenue
Goods value	Customer	At checkout	Supplier’s price	TZS 72,000 net per order	Supplier revenue; not platform revenue

9.3 The unit economics of one order

Item	TZS	Explanation
Average order value (gross)	75,000	Assumption; must be tested
Returns (4%)	(3,000)	Goods returned; no commission earned

Item	TZS	Explanation
Net merchandise value	**72,000**	Basis for commission and payment fees
Commission at 8%	5,760	Platform revenue
Payment fee at 2.5%	(1,800)	Paid to the PSP; treated as a variable cost
Refund handling at 1% of returns	(30)	Manual processing, reversals, support
Customer support	(700)	Allocated cost per order
Delivery coordination fee	1,000	Revenue for booking and exception handling
Delivery coordination cost	(500)	Direct cost of labels, calls, exception handling
Contribution per order	**3,730**	Available to pay fixed costs
Contribution as % of gross AOV	4.97%	Thin; volume and fixed-cost discipline matter

The delivery charge itself is not in this table because it is pass-through. The customer pays an assumed average of TZS 5,000 to the carrier, and the platform earns a separate TZS 1,000 coordination fee. The customer's total delivery-related charge is therefore about TZS 6,000 in this illustration. That may be too high for a TZS 30,000 order; the research must test it.

9.4 Worked example: 1,000 orders in a month

Line	TZS	Note
Gross order value	75,000,000	1,000 × TZS 75,000
Returns value	(3,000,000)	4% of gross
Net GMV	**72,000,000**	
Commission revenue	5,760,000	8% of net GMV
Supplier subscriptions	600,000	Assumed total
Delivery coordination revenue	1,000,000	TZS 1,000 × 1,000 orders
Sponsored placement	500,000	Assumed
Total revenue	**7,860,000**	
Payment fees	(1,800,000)	2.5% of net GMV
Refund handling	(30,000)	1% of returns value
Customer support	(700,000)	TZS 700 × 1,000
Delivery coordination cost	(500,000)	TZS 500 × 1,000
Total variable costs	**(3,030,000)**	
Contribution	**4,830,000**	
Fixed operating costs (moderate)	(5,600,000)	Section 15

Line	TZS	Note
Net operating result	**(770,000)**	A loss
Take rate (revenue / gross GMV)	10.48%	
Contribution margin (contribution / gross GMV)	6.44%	
Net margin	(1.03%)	

Memo items, not revenue:

Item	TZS	Note
Customer delivery charges collected	5,000,000	Passed to carrier
Carrier charges paid	(5,000,000)	Net zero to platform
Supplier goods value	72,000,000	Belongs to suppliers

The worked example is the clearest statement of the business's challenge: at 1,000 orders a month, a moderate cost structure still loses money. The platform needs either more orders, a higher contribution per order, lower fixed costs, or more ancillary revenue. Usually it needs all four, in some combination.

9.5 Break-even

Break-even volume is fixed costs divided by contribution per order, after allowing for ancillary revenue.

Scenario	Fixed costs / month	Ancillary revenue / month	Contribution needed from orders	Break-even orders / month	Orders / day
Lean	2,200,000	1,100,000	1,100,000	**295**	10
Moderate	5,600,000	1,100,000	4,500,000	**1,206**	40
Ambitious	12,000,000	1,100,000	10,900,000	**2,922**	97

The ancillary figure of TZS 1.1m is a steady-state assumption (TZS 600,000 subscriptions plus TZS 500,000 sponsored). In the pilot cash plan, ancillary revenue ramps from TZS 200,000 in month 1 to TZS 800,000 in month 6 in the lean case, and to TZS 1.1m in the moderate case because it assumes more advertising revenue. Before the full run-rate is reached, break-even is higher: at TZS 800,000 of ancillary revenue, the moderate break-even is about **1,287 orders/month**, the lean about **375**, and the ambitious about **3,003**. The difference matters: do not quote a break-even that assumes revenue the pilot has not yet earned.

9.6 Sensitivity: what if the assumptions are wrong?

The table shows break-even orders per month for different average order values and commission rates, holding other assumptions constant and using TZS 1.1m ancillary revenue.

AOV (TZS)	Commission	Contribution / order (TZS)	Break-even orders / month	Orders / day
50,000	6%	1,460	3,082	103
50,000	8%	2,420	1,860	62
50,000	10%	3,380	1,331	44

AOV (TZS)	Commission	Contribution / order (TZS)	Break-even orders / month	Orders / day
75,000	6%	2,290	1,965	66
75,000	**8%**	**3,730**	**1,206**	**40**
75,000	10%	5,170	870	29
100,000	6%	3,120	1,442	48
100,000	8%	5,040	893	30
100,000	10%	6,960	647	22

The table makes the strategic trade-off visible. A lower AOV with a low commission requires an order volume the pilot is unlikely to reach. A higher AOV or a higher commission reduces the required volume but may reduce demand or supplier willingness. The group must choose which lever to test first. The recommended test is **commission and category mix**, not delivery price, because delivery is already close to cost.

9.7 What is deliberately excluded

The model does not include:

- Revenue from selling customer data (the platform should not do this).
- Revenue from supplier loans or factoring (a licensed activity; not planned).
- Advertising beyond sponsored placement (no audience yet).
- Cross-border sales (different customs, tax and delivery).
- Subscription fees for customers (unlikely to be accepted at pilot).
- Government or donor grants (possible, but not a business model).

Excluding these keeps the model honest. If the business only works with grant funding, it is a programme, not a company.

9.8 Pricing decisions to test in research

1. Will suppliers accept 8%? At what commission do they refuse?
2. Will they pay a monthly subscription, or only a commission?
3. Will customers pay TZS 5,000–7,000 for delivery on a TZS 50,000 order?
4. Will they pay more for a guaranteed delivery window?
5. Is sponsored placement credible before there is traffic?
6. What payment fee does the PSP actually charge, including settlement and refund fees?
7. What is the real return rate by category?
8. What does a returned parcel cost in reverse logistics?

Until these are answered, the numbers in this section are a planning tool, not a forecast.

10. Logistics and delivery operations

10.1 The logistics promise

The platform's promise should be narrow enough to keep:

> "We deliver to your address in Dar es Salaam within the stated window. You can track the order. If it does not arrive as described, we will fix it."

Everything in logistics serves that promise. The platform does not need same-day delivery at launch. It needs **predictable** delivery, honest communication and a remedy when something fails.

10.2 Manual pilot versus API integration

A common mistake is to assume a carrier has an API because it has a website. Usiri publishes no API, no rate card and no working tracking page [S2][S4]. The pilot must therefore be designed for **manual coordination**, with integration as an upgrade if a carrier proves capable.

Function	Manual pilot	Integrated future	What must be true for integration
Rate quote	Rate card or WhatsApp confirmation	API quote	Carrier publishes rates and availability
Booking	Email or portal entry	API booking	Carrier exposes booking endpoint
Label	Platform-generated PDF	API label	Label standard agreed
Tracking	Daily status file or phone call	Webhook or poll	Status events with consistent codes
Proof of delivery	Photo sent by carrier	API POD	POD attached to parcel record
Claims	Email with evidence	API claim	Claims endpoint and SLA
Reconciliation	Spreadsheet match	Automated match	Settlement file with parcel IDs
Exception handling	Phone and shared sheet	Alerting	Event stream and ownership

The manual model is not a failure. It is a way to learn what the integration must do. The platform should record every manual step so that the future API specification is based on reality, not imagination.

10.3 Parcel flow

1. **Order confirmed.** The platform creates a sub-order per supplier and a shipment record per parcel.
2. **Supplier packs.** The supplier uses the platform's packaging standard, includes a packing slip, and seals the parcel with a tamper-evident label.
3. **Handover.** The supplier drops the parcel at a carrier branch or the carrier collects it. The platform records the handover time, weight and condition.
4. **Line-haul.** The carrier moves the parcel on its route. The platform receives a status update at defined milestones.
5. **Last mile.** The carrier calls the customer, attempts delivery, and obtains proof of delivery (photo, signature or code).

6. **Confirmation.** The platform marks the order delivered and starts the return window.
7. **Exception.** If delivery fails, the platform contacts the customer, arranges a second attempt or a collection point, and records the reason.
8. **Return.** If the customer returns the item, the platform books reverse logistics, inspects the item and processes the refund.

10.4 Assumptions used in the model

Assumption	Value	Basis	Risk
Average customer delivery charge	TZS 5,000 per order	Planning assumption	Too high for low-value orders; too low for bulky items
Average carrier charge	TZS 5,000 per order	Planning assumption	Real rates unknown; could be higher
Delivery coordination fee	TZS 1,000 per order	Planning assumption	Customer may resist a separate fee
Coordination cost	TZS 500 per order	Labels, calls, exception handling	Underestimated if exceptions are frequent
Parcel weight	1–10 kg	Category assumption	Appliances may exceed this
First-attempt success	80% target	Operational target	Address quality may make this optimistic
Damaged/lost rate	Below 2%	Operational target	Carrier performance unknown

None of these is a quotation. The research phase must obtain real rates for representative parcels on representative routes.

10.5 Carrier selection scorecard

Criterion	Weight	What to check	Minimum
Coverage	15%	Routes and branches relevant to Dar es Salaam	City-wide plus 2 upcountry corridors
Reliability	20%	On-time history, references, complaints	Evidence of 90%+ on-time or credible plan
Parcel handling	15%	Fragile goods, size limits, packaging rules	Written handling standard
Tracking	10%	Status events, POD, customer communication	Daily status file or portal
Liability and insurance	15%	Compensation limits, claims process, cover	Written terms and insurance evidence
Price	15%	Rate card, surcharges, minimums	Within model assumption or negotiable
Financial stability	5%	Years trading, ownership, payment terms	No obvious distress
Technology readiness	5%	API, portal, data format	Manual acceptable; API preferred

Score each carrier out of 5 and multiply by the weight. A carrier that scores well on price but poorly on liability is not a bargain.

10.6 The pilot SOP

The standard operating procedure should be short enough for a new operations assistant to follow on day one.

Before dispatch

- Confirm order and address by phone or SMS.
- Check supplier stock and packing standard.
- Generate label with order number, parcel number, supplier code and delivery zone.
- Record weight and dimensions.
- Book carrier and record booking reference.

At handover

- Count parcels against manifest.
- Photograph each parcel.
- Obtain carrier receipt.
- Update order status to “in transit”.

In transit

- Check status daily at 10:00 and 16:00.
- Flag any parcel with no scan for 24 hours.
- Proactively contact customer if the promised date is at risk.

At delivery

- Confirm POD is received.
- Update status to “delivered”.
- Send customer confirmation and return instructions.
- Start the return window.

Exception

- Log reason code: address, unavailable, refused, damaged, lost, carrier delay, supplier delay.
- Assign owner and deadline.
- Contact customer within 2 hours during support hours.
- Decide remedy: redelivery, collection, refund or replacement.
- Record cost and charge the responsible party where the contract allows.

10.7 Delivery economics

Delivery is a cost centre with a small coordination margin, not a profit centre. The platform should resist the temptation to mark up delivery aggressively; customers compare delivery charges and will abandon. The better strategy is to reduce cost per successful delivery through:

- **Density:** concentrate marketing in a few wards so parcels per route increase.
- **Drop-off:** ask suppliers to deliver to a carrier branch rather than requesting pickup.
- **Standard packaging:** reduce volumetric weight and damage.

- **Address quality:** confirm landmarks and phone numbers before dispatch.
- **First-attempt success:** call ahead, offer evening or weekend windows.
- **Consolidation:** combine multiple parcels to the same customer where possible.
- **Carrier competition:** qualify a second carrier and route by cost and performance.

10.8 Logistics KPIs

KPI	Definition	Target	Source
On-time dispatch	Supplier hands over by cut-off	95%	Order system
On-time delivery	Delivered within promised window	90%	Carrier manifest + POD
First-attempt success	Delivered on first attempt	80%	Carrier report
Damage rate	Damaged parcels / delivered parcels	Below 1.5%	Claims log
Loss rate	Lost parcels / dispatched parcels	Below 0.5%	Claims log
Average delivery time	Order to delivery, by zone	2–4 days	Order system
Cost per delivered order	Total carrier cost / delivered orders	Within model	Finance
Exception resolution	Resolved within 48 hours	90%	Support system
Carrier invoice accuracy	Invoices matching manifest	98%	Reconciliation

10.9 The Usiri-specific caution

If Usiri becomes a carrier, the pilot should still qualify a second carrier. The reasons are practical, not political:

- A single carrier can fail during peak season, fuel shortages or operational disruption.
- A second quote creates a benchmark for rates.
- A carrier that knows it is the only option has little incentive to improve service.
- The platform’s promise to customers cannot depend on one company’s capacity.

The carrier adapter in the technology architecture (Section 11) exists to make switching possible without rebuilding the platform.

11. Technology architecture

11.1 Principles

The technology exists to run the marketplace reliably, not to demonstrate sophistication. Six principles guide the design:

1. **Monolith first.** One deployable application is easier to build, test, secure and afford than a set of microservices. Split only when a measured bottleneck justifies it.
2. **Buy what is commodity.** Payments, messaging, hosting, search and analytics should be bought or rented, not built.
3. **Mobile-first and low-bandwidth.** Most customers will use a phone on a mobile network. Pages must load quickly and work on modest devices.
4. **Bilingual.** Swahili and English, with Swahili as the default for customer-facing content.
5. **Secure by default.** Least privilege, encryption, audit logs, backups and a tested restore plan.
6. **Carrier-agnostic.** Delivery is an adapter, not a hard-coded integration, so the platform can switch carriers.

11.2 Proposed architecture

The diagram `diagrams/tech_architecture.svg` shows the flow from clients to data and integrations. In words:

- **Clients:** customer web/PWA, supplier portal, admin console.
- **Edge:** CDN, WAF, rate limiting, TLS.
- **Application:** Next.js for server-rendered customer and supplier pages; FastAPI for the domain API, authentication, orders, payments and integrations.
- **Data:** PostgreSQL as the system of record; Redis for sessions, queues and rate limits; object storage for product images and documents; a separate analytics store for reporting.
- **Integrations:** payment gateway, carrier adapter, SMS/WhatsApp, email, identity/KYC, accounting export.
- **Operations:** logging, monitoring, error tracking, backups, CI/CD.

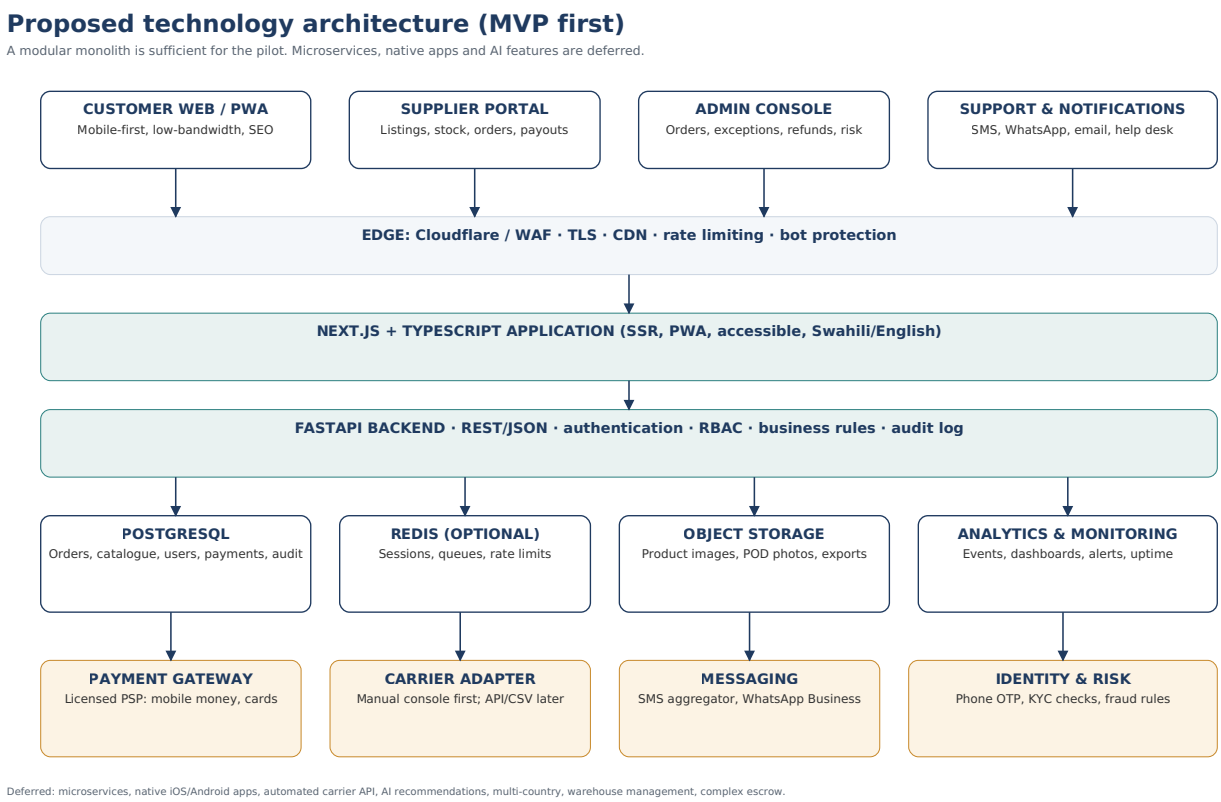


Figure 4. Proposed technology architecture. The monolith and managed services are deliberate choices for the pilot; microservices are deferred.

11.3 Stack choices

Layer	Proposed choice	Why	Alternative
Customer front end	Next.js + TypeScript	Server rendering, good performance, large talent pool	Remix, SvelteKit
Styling	Tailwind CSS	Fast consistent UI; small CSS	CSS modules
Supplier/admin front end	Next.js or a simpler React admin	Reuse components; role-based access	Retool, Appsmith
API	FastAPI (Python)	Clear contracts, good validation, fast development	NestJS, Django
Database	PostgreSQL	Relational integrity for orders and payments; mature	MySQL
Cache/queue	Redis	Sessions, rate limits, background jobs	Managed queue
File storage	S3-compatible object storage	Product images, KYC documents, invoices	Cloud provider storage
Search	PostgreSQL full-text first; managed search later	Avoid another service at pilot	Meilisearch, Algolia
Payments	Licensed PSP/aggregator with mobile money and cards	Compliance and reach	Direct telco integrations (not recommended)
Messaging	SMS gateway + WhatsApp Business API	Customers use both	Email only (insufficient)

Layer	Proposed choice	Why	Alternative
Hosting	Managed platform (Vercel/ Render/Fly) + managed Postgres	Low ops burden	VPS with Docker
Monitoring	Sentry + uptime monitor + structured logs	Find failures fast	Cloud-native tools
Analytics	Privacy-conscious product analytics	Understand funnel without over-collecting	Self-hosted

The stack is a proposal, not a commitment. The group should choose based on the skills it actually has. A team that knows Django better than FastAPI should use Django; the architecture matters more than the brand of the framework.

11.4 Core modules

Module	Functions	Priority
Identity and access	Customer, supplier and staff accounts; MFA for staff; role-based permissions	Must
Catalogue	Products, variants, categories, attributes, images, approval workflow	Must
Inventory	Stock per supplier, reservation, suppression at zero	Must
Search and discovery	Keyword search, filters, sorting, category pages	Must
Cart and checkout	Multi-supplier cart, address, delivery estimate, fees, payment	Must
Orders	Order and sub-order lifecycle, statuses, cancellation, partial refund	Must
Payments	PSP integration, webhook handling, idempotency, refunds	Must
Payouts	Supplier statements, holds, settlement, reconciliation	Must
Delivery	Shipment records, carrier adapter, labels, tracking, POD	Must
Returns	Return requests, approval, reverse logistics, inspection, refund	Must
Notifications	SMS, WhatsApp, email templates, event triggers	Must
Support	Ticket queue, order context, canned responses, escalation	Must
Admin	Supplier management, catalogue moderation, dispute resolution, reporting	Must
Reviews	Verified-buyer reviews, moderation, supplier reply	Should
Promotions	Vouchers, supplier-funded discounts, campaign tracking	Should

Module	Functions	Priority
Analytics	Funnel, cohort, category, supplier and delivery reports	Should
Advertising	Sponsored placement slots and reporting	Later
Loyalty	Points or subscription for customers	Later
Multi-currency	USD/EUR pricing	Later
Native apps	iOS/Android	Later

11.5 Data model

The minimum entities are:

- **User:** customer, supplier staff, platform staff; phone, email, status, consent record.
- **Supplier:** legal name, TIN, verification status, contract, payout account, scorecard.
- **Product:** title, description, category, brand, images, attributes, warranty, status.
- **Variant:** SKU, price, stock, weight, dimensions.
- **Order:** customer, address, totals, payment status, delivery status, channel.
- **SubOrder:** supplier, items, subtotal, commission, status.
- **OrderItem:** product, variant, quantity, unit price, discount, commission, return status.
- **Shipment:** carrier, tracking number, parcel count, weight, status, POD.
- **Payment:** PSP reference, amount, fee, status, settlement date.
- **Payout:** supplier, period, gross, commission, fees, adjustments, net, status.
- **Return:** order item, reason, evidence, approval, inspection, refund amount.
- **Dispute:** customer, order, issue, owner, deadline, resolution.
- **AuditLog:** actor, action, entity, before/after, timestamp, IP.

The data model must support partial cancellation and partial return from day one. Retrofitting these later is expensive and creates accounting errors.

11.6 MVP versus advanced

Capability	MVP	Advanced	Why defer
Customer web app	Server-rendered responsive site/PWA	Native apps	Web reaches more people at lower cost
Payments	Mobile money + cards via PSP	Wallets, instalments, BNPL	Adds risk and integration cost
Delivery	Manual booking + status updates	API booking, live tracking	Carrier capability unknown
Search	Keyword + filters	Personalised recommendations	No data yet
Reviews	Verified text reviews	Photos, sentiment analysis	Moderation cost
Support	Shared inbox + order context	Chatbot, workforce management	Volume too low
Analytics	Funnel and cohort dashboards	Data warehouse, attribution	Overkill at pilot
Infrastructure	Monolith + managed services	Microservices, event bus	Complexity without scale

Capability	MVP	Advanced	Why defer
Multi-city	One city	Multi-city, zones	Operations must be proven first
Language	Swahili + English	Additional languages	Not needed initially

11.7 Non-functional requirements

- **Performance:** product and checkout pages load in under 3 seconds on a mid-range phone on 4G; server response under 500 ms for key APIs.
- **Availability:** 99.5% monthly for checkout and order APIs; planned maintenance outside peak hours.
- **Backups:** daily database backups, encrypted, retained 30 days; restore tested quarterly.
- **Security:** TLS everywhere; passwords hashed; MFA for staff; least-privilege roles; secrets in a managed store; dependency scanning.
- **Privacy:** data minimisation; consent records; retention schedule; export and deletion process; PDPA-compliant notices.
- **Audit:** every admin action on orders, refunds, payouts and supplier status is logged.
- **Accessibility:** readable fonts, alt text, keyboard navigation for admin.
- **Observability:** structured logs, error tracking, uptime alerts, a status page for staff.

11.8 Build versus buy

There are three realistic routes:

1. **Custom build** (Next.js + FastAPI + PostgreSQL). Maximum control, highest cost and longest time. Suitable if the group has strong technical capacity and wants the marketplace to be a long-term asset.
2. **Managed commerce platform with marketplace extensions** (for example, a hosted storefront plus multivendor plugins). Faster and cheaper to start, but customisation is constrained and transaction fees may apply.
3. **Hybrid:** buy the storefront and payments, build the supplier portal and delivery orchestration. A pragmatic middle path.

The recommendation is to decide in Phase 5, after research, based on three questions: What is the real workflow? What skills does the team have? What is the total cost over 24 months, including subscriptions and integration? A custom build that takes nine months and costs TZS 40m may be worse than a hosted platform that launches in six weeks for TZS 8m, even if the latter is less elegant.

11.9 Security and fraud controls

- **Account security:** phone verification, optional PIN, device fingerprinting for high-risk actions, MFA for staff.
- **Payment security:** PSP-hosted payment pages where possible; never store card data; verify webhook signatures; idempotency keys.
- **Order risk:** velocity limits per phone/device/address; block lists; manual review above a threshold; COD restrictions.
- **Supplier risk:** KYC documents, bank account matching, site visit, sample orders, staged payouts.
- **Insider risk:** segregation of duties between order refund and payout approval; audit logs; dual approval above a threshold.
- **Data security:** encryption at rest and in transit; access reviews; incident response plan; breach notification process.
- **Availability:** WAF, rate limiting, backups, disaster recovery runbook.

11.10 Technology budget and team

The model allocates TZS 6m (lean), TZS 18m (moderate) and TZS 40m (ambitious) to MVP development, plus monthly hosting and tools. Those figures assume a mix of founder time and contractors. They do not include a full-time engineering salary, which would exceed the lean budget on its own.

The realistic team for the MVP is:

- One technical lead (founder or contractor) accountable for architecture and security.
- One full-stack developer (contractor or founder) for the customer and supplier flows.
- One designer (part-time) for UI and content.
- One operations person for supplier onboarding and manual delivery coordination.
- One part-time tester or QA support before launch.

If the group does not have these skills, it should buy a hosted platform rather than attempt a custom build it cannot maintain. An unmaintained marketplace is a security and financial liability.

11.11 Technical risks

Risk	Likelihood	Impact	Mitigation
Scope creep delays launch	High	High	Fixed MVP list; change control; launch date
Payment integration takes longer than planned	Medium	High	Start PSP sandbox in week 1; use hosted checkout
Carrier has no API	High	Medium	Manual pilot; adapter design; second carrier
Data breach	Low–medium	Very high	Security baseline; pen test before launch; insurance
Founder leaves with system knowledge	Medium	High	Documentation; code repository; IP assignment
Hosting costs grow unexpectedly	Medium	Medium	Budget alerts; usage caps; managed plans
Poor performance on mobile networks	Medium	High	Image optimisation; CDN; performance budget
Over-engineering	High	Medium	Monolith; buy commodity; review scope monthly

The last risk is the most common in student-founded technology projects. A beautiful architecture that never launches is worth less than a plain application that takes real orders.

12. Payments, trust and legal foundations

> **This section is a map of issues, not legal advice.** Tanzania's rules change, and their application depends on facts the group has not yet established. A qualified Tanzanian lawyer, accountant and, where relevant, the regulator must review the structure before launch. The group should budget for this review in Phase 4.

12.1 The payment flow we intend to use

The simplest compliant design is:

1. **Customer pays** through a licensed payment service provider (PSP) using mobile money, a card or a bank transfer. The PSP hosts the payment page or an in-app payment sheet.
2. **The PSP settles** the collected funds to the platform's merchant account, net of its fees, on an agreed cycle.
3. **The platform records** the order, the payment reference and the fee.
4. **The supplier is paid** after delivery is confirmed and the return window has passed, on a published schedule (for example T+3 or weekly), less commission and any adjustments.
5. **Refunds** are processed through the same PSP, with a clear reason code and a service-level target.
6. **Reconciliation** matches order, payment, settlement, refund and payout records daily.

The platform should use the PSP's **split-payment or marketplace settlement** feature if available, so that supplier funds are segregated or paid out under the provider's licence. If no such feature is available, the platform must confirm with counsel whether holding supplier funds creates a payment-service, deposit-taking or trust-account obligation.

Do not call the arrangement "escrow" unless a licensed party is legally acting as escrow agent under a proper agreement. An ordinary platform wallet that holds money for a few days is not escrow. Using the word loosely creates legal and reputational risk.

12.2 Payment methods

Method	Customer appeal	Platform considerations	Status
Mobile money (M-Pesa, Mixx by Yas, Airtel Money, HaloPesa, T-Pesa, Azam Pesa)	High; familiar; low friction	Multiple integrations; fees; settlement times; phone-number verification	Likely core
Cards (Visa/Mastercard)	Useful for some customers and expatriates	Chargebacks; 3-D Secure; higher fees; fraud risk	Secondary
Bank transfer	Useful for larger orders and suppliers	Manual reconciliation; delayed confirmation	Limited
Cash on delivery	Trust for first-time buyers	Cash handling, refusal, theft, reconciliation; may require a courier licence or partner	Optional, restricted
TIPS / TANQR	Interbank and QR payments	Requires PSP support; customer familiarity varies	Explore
Wallet/credits	Repeat customers	Licensing and safeguarding issues; float risk	Avoid initially

The exact list depends on what the chosen PSP supports. The platform should not integrate directly with every telco at launch; a licensed aggregator reduces complexity, even if the fee is slightly higher.

12.3 Reconciliation and payouts

Reconciliation is the least glamorous and most important finance process. A marketplace can appear to grow while losing money through unrecorded refunds, duplicate payouts, uncollected fees and carrier overbilling.

Daily controls:

- Match every order to a payment reference and a settlement line.
- Identify payments without orders and orders without payments.
- Record PSP fees per transaction, not as a monthly total.
- Match refunds to the original payment.
- Match carrier invoices to the manifest and rate card.
- Flag duplicates and anomalies.

Payout controls:

- Hold supplier payouts until delivery is confirmed and the return window closes.
- Deduct commission, refunds, penalties and any chargebacks with a clear statement.
- Require dual approval above a threshold.
- Keep a reserve (for example 5–10% of payouts) for a defined period to cover disputes.
- Publish the payout calendar and keep to it.
- Never pay a supplier to a different account without verified change control.

Monthly close:

- Reconcile the PSP balance, bank account, supplier payable ledger and order ledger.
- Review refunds, chargebacks, write-offs and exceptions.
- Compare budget to actual and explain variances.
- Sign off by finance and CEO.

12.4 Refunds, returns and chargebacks

The published policy should answer, in plain language:

- What can be returned, within how many days, and in what condition.
- What cannot be returned (for example, opened personal-care items, customised goods).
- Who pays return delivery, and when.
- How long a refund takes and to which method.
- What happens if the item is damaged, wrong or missing.
- How a dispute is escalated and decided.
- What the customer’s statutory rights are, where they override the policy.

A common failure is to promise “easy returns” in marketing and then make the process difficult. The policy must match the operating capability. If the platform cannot inspect a returned item within 48 hours, it should not promise a 48-hour refund.

Chargebacks are different from ordinary refunds: the card issuer decides, often on documentary evidence. The platform needs a chargeback playbook, evidence templates and a fraud review before the first card payment is accepted.

12.5 Fraud and abuse controls

Fraud type	How it appears	Control
Stolen payment instrument	Card or mobile money used without authorisation	PSP risk checks; 3-D Secure; device and phone verification; velocity limits
Fake payment screenshot	Customer claims payment but no settlement	Only fulfil on confirmed PSP settlement, never on a screenshot
Refund abuse	Repeated “not received” or “damaged” claims	Evidence requirements; pattern detection; account review
COD refusal	Customer refuses a parcel at the door	Phone confirmation; deposit for high-value orders; restrict COD
Supplier non-delivery	Supplier takes order but does not ship	Staged payouts; scorecard; delisting; reserve
Counterfeit goods	Product is not genuine	KYC; sample checks; brand authorisation; buyer reports; delisting
Account takeover	Attacker changes payout or address	MFA; change cooling period; notification; manual review
Internal fraud	Staff issue refunds to accomplices	Segregation of duties; audit logs; threshold approvals

Fraud controls should be proportionate. Treating every customer as a criminal destroys conversion; treating none as a risk destroys the business. Start with simple rules, measure false positives and adjust.

12.6 Seller verification (KYC)

A verified seller is the platform’s most important trust asset. The minimum check is:

- Legal identity: business registration or sole-trader ID, TIN, physical address.
- Ownership: who owns the business, and who is authorised to sign.
- Bank/mobile money account in the business name; verification of the account.
- Physical inspection: visit the shop, photograph the premises, check stock.
- Product legitimacy: invoices, brand authorisation where relevant, sample inspection.
- References: landlord, wholesaler or other marketplace.
- Sanctions/adverse media check where proportionate.
- Signed supplier agreement, including warranties, returns and data terms.
- Periodic re-verification (annual or on trigger).

High-risk categories (electronics, beauty, baby, health) require additional checks. A seller that fails verification should be rejected with a written reason and a route to appeal.

12.7 Consumer protection and standard-form contracts

Tanzania’s Fair Competition Commission administers rules on standard-form consumer contracts. The Standard Form (Consumer Contracts) Regulations 2014 require certain standard-form contracts to be registered with the FCC, with an application and review process [S16]. The platform’s customer terms, supplier terms and returns policy may fall within scope.

Practical steps:

- Draft terms in plain Swahili and English, with a readable summary.
- Avoid unfair terms: one-sided refund exclusions, unlimited liability disclaimers, unilateral price changes.
- Show the total price, delivery fee, taxes and return rights before payment.
- Register the standard-form contract as advised; keep the acknowledgement.
- Maintain a complaints log and respond within published times.
- Train support staff to apply the policy consistently.
- Review terms when the model changes.

The FCC process is not a one-off formality. A contract that is registered but not followed is still a consumer-protection problem.

12.8 Data protection (PDPA 2022)

The Personal Data Protection Act 2022 establishes the Personal Data Protection Commission and a set of obligations for organisations that collect personal data [S14]. Law-firm commentary reports a registration deadline of 8 April 2026, with enforcement from 9 April 2026 and a requirement for a Data Protection Officer [S15]. That date has passed; the group must confirm the current registration status, procedure and any transitional arrangements directly with the PDPC or counsel.

The platform will collect names, phone numbers, addresses, order histories, payment references, supplier KYC documents and possibly location data. The compliance baseline is:

- **Lawful basis:** identify the basis for each processing purpose (contract, consent, legal obligation, legitimate interest).
- **Notice:** tell people what is collected, why, for how long and who receives it.
- **Minimisation:** collect only what is needed. Do not collect ID numbers “just in case”.
- **Consent:** where consent is the basis, make it specific, informed and easy to withdraw. Do not bundle consent into terms.
- **Data subject rights:** access, correction, deletion where applicable, objection, portability where relevant.
- **Retention:** a schedule by data type; delete or anonymise when no longer needed.
- **Security:** encryption, access control, logging, vendor management.
- **Breach response:** detect, contain, assess, notify the PDPC and affected individuals as required, and document.
- **Cross-border transfer:** confirm safeguards before using a cloud provider that stores data outside Tanzania.
- **Processor agreements:** contracts with PSPs, carriers, SMS providers and cloud hosts.
- **DPO:** appoint a competent person and give them access to the board.
- **Records:** maintain a data inventory and processing register.

Penalties reported by law firms can be severe, including substantial fines and imprisonment for serious breaches [S14]. The point is not the maximum penalty; it is that a data breach destroys customer trust faster than a delivery failure.

12.9 Electronic transactions and records

The Electronic Transactions Act 2015 (Cap. 442 R.E. 2022) recognises electronic transactions, signatures and records [S19]. This supports online contracting, electronic invoices and digital records, subject to the Act’s requirements. The platform should:

- Keep reliable records of order confirmation, terms acceptance and payment.

- Use an audit trail for electronic signatures on supplier agreements.
- Ensure invoices and receipts meet tax requirements.
- Retain records for the period required by tax and commercial law.

12.10 Tax

The main taxes to confirm with an accountant are:

Tax	Current reported position	What it means for the platform
VAT	Standard rate 18%; registration threshold TZS 200m turnover (or TZS 100m in six months) [S11]	Monitor threshold; VAT on commission and fees; input VAT on eligible costs; invoices
Corporate income tax	30% for resident companies [S12]	Tax on profit, not GMV; losses may carry forward subject to rules
Withholding tax	Applies to certain payments; 15% reported on non-resident royalties [S13]	Brand licence or franchise fees may attract withholding; confirm
Payroll taxes	PAYE, social security and other contributions	Register as an employer; payroll compliance
Customs and import duty	Applies to imported goods	Supplier responsibility, but the platform should not facilitate under-declaration
Digital services / e-commerce rules	May change	Confirm current treatment with counsel and TRA

The platform should issue proper invoices for commission and fees, keep VAT records, and not treat pass-through delivery charges as its own revenue without advice. Tax treatment of marketplace facilitator models can be complex; assume nothing.

12.11 Brand, trademark and franchise law

Tanzania has no stand-alone franchise statute. Franchise and brand-licence relationships are governed mainly by the Law of Contract Act (Cap. 345) and the Trade and Service Marks Act (Cap. 326), with competition and consumer rules also relevant [S13].

Key points:

- Register the platform’s own trademark and secure the domain and social handles.
- Conduct a trademark search before adopting a name.
- A brand licence must be in writing, with scope, quality control, fees, term and termination.
- Franchise-like arrangements may attract withholding tax on royalties; confirm.
- Do not use another company’s mark, packaging or photography without permission.
- Have a takedown process for counterfeit or infringing listings.
- Protect customer and supplier data; do not let a brand owner access it without a lawful basis.

12.12 Transport, liability and insurance

When a parcel is lost or damaged, the customer will look to the platform, even if the carrier caused the loss. The platform’s terms should explain the remedy, and its carrier contract should allocate the cost.

Questions to resolve:

- What is the carrier's liability limit per parcel? Is it based on weight, declared value or a fixed cap?
- Are goods in transit insured? By whom? What are the exclusions?
- What evidence is required for a claim, and within what time?
- Who bears the cost of a failed delivery or return?
- Does the platform need its own goods-in-transit or public liability cover?
- Does the platform need a courier licence, or is it a customer of licensed carriers? TCRA licenses postal and courier operators, with application and licence fees [S17]. The answer depends on whether the platform takes possession of parcels or merely arranges carriage.

The group should obtain written confirmation from TCRA or counsel on the licensing question before handling parcels itself. Using licensed carriers reduces the risk but does not eliminate the platform's obligations to customers.

12.13 Address quality

Tanzania has a national postcode and addressing programme [S18], but many deliveries still rely on landmarks, phone calls and local knowledge. The platform should:

- Capture a landmark, ward and phone number, not only a street address.
- Allow a pin location where the customer can share one.
- Confirm the address by phone or SMS before dispatch.
- Maintain a delivery-zone table with expected transit times.
- Record failed-delivery reasons to improve the address database.

12.14 Compliance calendar (first year)

Month	Item	Owner
1	Company registration, TIN, business licence, bank account	Finance
1	Trademark search and application	Finance/legal
1–2	Supplier agreement, customer terms, privacy notice	Legal adviser
2	PDPC registration and DPO appointment (confirm current rules)	Finance/compliance
2	FCC standard-form contract filing (confirm scope)	Legal adviser
2	PSP merchant application and KYC	Finance
3	Insurance review (goods in transit, public liability, cyber)	Finance
3	Employment contracts and payroll registration	Finance
3	VAT registration assessment	Accountant
4	Carrier agreements and SLA	CEO/COO
4	Security review and pen test	CTO

Month	Item	Owner
6	First compliance audit	Finance/compliance
9	Contract and policy review	Legal adviser
12	Annual tax and data-protection review	Finance/compliance

12.15 Questions for lawyers, accountants and regulators

Corporate and commercial

1. What is the appropriate company structure for a group of founders with unequal time commitments?
2. How should founder equity, vesting and IP assignment be documented?
3. What disclosures and approvals are needed for a brand licence or franchise?
4. Can the platform enforce a supplier agreement that includes indemnities and chargebacks?
5. What consumer terms are required for distance selling, and which are unfair?

Payments

1. Does the proposed flow require a payment-service licence, or is the PSP’s licence sufficient?
2. Can the platform hold supplier funds, and for how long, without a trust or payment licence?
3. What are the PSP’s settlement, refund, chargeback and reserve terms?
4. How should the platform handle failed payments, duplicate payments and partial refunds?
5. What are the AML/KYC obligations for suppliers and high-risk customers?

Data protection

1. What is the current PDPC registration procedure and status?
2. Who should be the DPO, and what qualifications are required?
3. What lawful basis applies to marketing, analytics and fraud prevention?
4. Can customer data be stored on cloud servers outside Tanzania, and with what safeguards?
5. What is the breach notification timeline and format?

Consumer and competition

1. Which standard-form contracts must be filed with the FCC, and what is the process?
2. What refund and return rights cannot be excluded?
3. Do exclusivity or most-favoured-customer terms raise competition concerns?
4. How should complaints and disputes be recorded and escalated?

Tax and transport

1. How should commission, subscriptions, delivery fees and pass-through charges be treated for VAT?
2. Does the platform have withholding obligations on supplier payments or brand royalties?
3. Does the platform need a courier licence, or can it operate as a customer of licensed carriers?
4. What insurance is required or prudent for parcels, liability and cyber risk?
5. What records must be kept, and for how long?

These questions should be answered in writing and stored with the project’s legal file. The answers will change the model; that is the point of asking before launch.

13. Market research and competitor analysis

13.1 Method and limits

This section is based on desk research conducted in October 2026: company websites, official statistics, government guidance and news reports. It is **not** a substitute for primary research. The group has not yet interviewed customers, suppliers or carriers, and has not run a pricing test. Market shares are not published in a reliable form, and this document does not invent them.

The desk research had three purposes: understand the customer's alternatives, identify what has and has not worked in Tanzania, and frame the questions that primary research must answer.

13.2 The competitive set

The platform would compete with several different kinds of alternative, not one competitor.

Alternative	Model	Strengths	Weaknesses / gaps	What it means for the project
Jiji	Classifieds; sellers and buyers connect; no fulfilment [S21]	Large selection; familiar brand; free listing; strong SEO	No payment protection, delivery or consistent seller verification; buyer must negotiate	The platform must offer a materially safer, more convenient transaction, not just listings
Kupatana	Classifieds; broad categories [S22]	Established classifieds brand; broad inventory	Same structural gaps as classifieds; quality varies	Do not compete on number of listings; compete on completed orders
KiKuu	Cross-border e-commerce; ships into multiple countries [S23]	Low prices; wide assortment; established logistics for cross-border	Long delivery times; returns difficult; customs; limited local after-sales	Local stock and fast, accountable delivery are the differentiator
Dar Shopping	Local e-marketplace; delivery and pickup; cash on delivery and online payment [S24]	Local presence; delivery options; broad categories	Scale and seller quality unknown; trust and consistency are hard	A direct comparator; differentiate on curation, verification and service
Jumia	Pan-African marketplace; exited Tanzania in 2019 [S9]; reportedly considering a return in 2025 [S10]	Capital, systems, brand recognition if it returns	Past exit shows the difficulty; no confirmed launch	A returning Jumia would validate the market and intensify competition; do not plan on its absence
Social commerce (Instagram, Facebook, WhatsApp, TikTok)	Sellers market and negotiate directly; payment by mobile money; delivery informal	Low cost; personal; huge reach; impulse buying	No buyer protection; inconsistent delivery; no catalogue; trust depends on reputation	Partner with good social sellers rather than only competing with them
Kariakoo and local shops	Physical retail; negotiate in person; cash or mobile money	Immediate possession; see the product; relationships	Time cost; traffic; no delivery; limited comparison	The benchmark for price and trust; online must beat the total experience, not just the price
Brand stores and supermarkets	Brand.com or retail chain e-commerce	Authenticity; warranty; trusted returns	Narrow assortment; limited delivery coverage; higher prices	Potential suppliers or partners; not direct competitors in the chosen category

Alternative	Model	Strengths	Weaknesses / gaps	What it means for the project
Informal resellers	Individual buyers who resell via social media	Flexible; cheap; personal service	No accountability; counterfeit risk; no scale	Some are potential suppliers; others are competition on price

13.3 What the competitive picture tells us

First, the market is not won by listings. Jiji and Kupatana already aggregate enormous choice. A new site with fewer listings cannot win by being a smaller classifieds site. It must win by completing orders and standing behind them.

Second, cross-border price competition is real. KiKuu and similar platforms can undercut local prices on many goods. The local platform should not try to be the cheapest on every item. It should compete on delivery time, returns, local warranty and the ability to speak to someone.

Third, a returning Jumia is a serious possibility. If Jumia re-enters, it will bring capital, systems and brand awareness. The project's defence is not to outspend it but to be more trusted and more locally embedded in a narrow segment. A small marketplace can coexist with a large one if it serves a specific customer better.

Fourth, social commerce is both competitor and supply channel. Many good sellers already have Instagram and WhatsApp audiences. The platform can offer them fulfilment, payments and a storefront, rather than asking them to abandon their audience. This is a realistic supplier acquisition strategy.

13.4 Differentiation hypothesis

The proposed differentiation is a combination, not a single feature:

1. **Verified local sellers.** Physical verification, not just a phone number.
2. **Coordinated delivery.** One place to track, one party accountable.
3. **Buyer protection.** Clear returns and refunds, with a real remedy.
4. **Curation.** A focused assortment in home and kitchen, not an endless bazaar.
5. **Local support.** Swahili-speaking support within business hours, reachable by phone or WhatsApp.
6. **Supplier tools.** A simple portal, predictable payouts and fair rules.

Each feature is copyable. The combination, executed consistently, is the moat. Trust is built slowly and lost quickly; that is why operations matter more than the website.

13.5 Positioning statement

> For Dar es Salaam households who want home and kitchen goods without the risk of paying a stranger online, **Usiri Marketplace** (working name) is a curated marketplace that verifies every seller, coordinates delivery and resolves problems within 48 hours. Unlike classifieds and social sellers, it stands behind the order; unlike cross-border platforms, it delivers from local stock with local after-sales support.

The name is a working label only. It cannot be used publicly without a licence from Usiri. If no licence is agreed, the project must adopt an independent name.

13.6 Research gaps

The desk research cannot answer the questions that determine viability. The Phase 2 research must cover:

Question	Method	Sample	Evidence standard
What do customers buy online today, and why?	Interviews	30	Recorded themes, not anecdotes
What delivery fee will they pay?	Survey with price options	150+	Stated preference; validate with a real test
What stops them buying from a new marketplace?	Interviews and survey	30 + 150	Ranked barriers
Which categories have the highest repeat potential?	Interviews and purchase diary	30	Actual or recent purchases
What commission will suppliers accept?	Supplier interviews	15	Specific percentage and rationale
What are the real carrier rates?	Quote requests	3 carriers	Written rate card
What do returns cost?	Supplier and carrier interviews	10	Cost per return
Who are the credible suppliers?	Field visits	40	Verification checklist
What are competitors' delivery and return promises?	Mystery shopping	8	Screenshots and timestamps
Is a brand licence available and at what cost?	Partner meeting	1–2	Written indication

13.7 Competitor monitoring

After launch, the group should track competitors monthly on a simple scorecard:

- Assortment breadth in the target category.
- Prices on a basket of 20 comparable SKUs.
- Delivery fee and promised time.
- Return policy and actual ease of return.
- Seller acquisition activity.
- Marketing channels and offers.
- Customer complaints on social media.

The purpose is not to copy. It is to notice when a competitor changes the rules, and to avoid being surprised.

14. Feasibility assessment

14.1 Overall judgement

The project is **technically feasible, operationally demanding, legally manageable and financially fragile at pilot scale**. It is not a bad idea; it is a hard business with a narrow margin for error. The group should proceed only if it is willing to run a disciplined, evidence-led research phase and to stop if the evidence does not support the model.

Dimension	Rating	Rationale
Market	**Conditional**	Large population and growing digital payments, but unproven willingness to pay for a new marketplace; strong alternatives
Operational	**Challenging**	Multi-supplier fulfilment, address quality, carrier reliability and returns are hard; a small team can manage only a narrow scope
Technical	**Feasible**	Standard web stack, licensed payments and manual logistics are enough for a pilot; no exotic technology required
Financial	**Weak at pilot**	Contribution per order is thin; fixed costs consume it below about 1,200 orders/ month in the moderate case
Legal / regulatory	**Manageable but non-trivial**	Registration, PDPA, FCC, tax, payments and transport liability all require professional advice and ongoing compliance

14.2 SWOT

Strengths	Weaknesses
Asset-light model; low capital relative to inventory retail	Thin unit economics; dependent on volume
Clear trust proposition in a low-trust market	No proprietary supply, brand or logistics asset
Local knowledge and language	Small team with limited operating experience
Narrow initial category reduces complexity	No proven demand; no customer base
Technology can be built or bought incrementally	Dependence on carriers and payment providers
Ability to learn quickly and pivot	Founder time and funding constraints

Opportunities	Threats
Social commerce sellers need fulfilment and trust	Jumia or another funded marketplace re-enters
Mobile money penetration and merchant growth	Carrier failure or price increase
Jumia’s absence leaves a gap	Regulatory change or enforcement
Suppliers want digital reach without losing control	Fraud, counterfeits and reputational damage
Brand partnership with a trusted local name	Usiri declines or demands uneconomic terms
Expansion to B2B or adjacent cities after proof	Economic pressure reduces discretionary spending

14.3 Risk register

Scores use likelihood 1–5 and impact 1–5; the score is the product. The full register, with editable scores, is in the workbook. The table below summarises the highest-priority risks. **These are assessments, not measured probabilities.**

ID	Risk	Category	L	I	Score	Mitigation	Owner
R01	Usiri declines or negotiations stall	Strategic/ partner	4	5	20	Independent-brand track; two alternative carriers; decision deadline before brand spend	Founder lead
R02	Supplier fraud, counterfeit or misrepresentation	Commercial/ trust	3	5	15	KYC, shop visits, samples, category limits, warranties, reserve, delisting	COO
R03	Delivery failures, late or damaged parcels	Operational	4	4	16	Written SLA, two attempts, collection points, photos, insurance, exception desk	Ops lead
R04	Low demand or high acquisition cost	Commercial	4	4	16	Narrow segment, waiting list, supplier-led demand, referrals, stop-loss budget	CEO
R05	Thin margins make the model unviable	Financial	4	4	16	Test 8–12% commission, subscriptions, delivery fee; keep fixed costs lean	Finance lead
R06	Payment fraud, chargebacks or reconciliation gaps	Financial/ technology	3	4	12	Licensed PSP, device checks, velocity limits, daily reconciliation, payout holds	CTO
R07	Data breach or PDPA non-compliance	Legal/ technology	3	5	15	PDPC registration, data map, least privilege, encryption, breach playbook, insurance	CTO/DPO
R08	Consumer-contract or returns policy challenged	Legal/ reputation	3	3	9	Plain-language terms, FCC filing, clear returns, complaints log, legal review	Legal adviser
R09	Jumia or another funded marketplace enters	Competitive	3	5	15	Differentiate on verification, delivery and support; avoid subsidy war; supplier switching costs	CEO
R10	Over-dependence on one logistics partner	Operational/ strategic	4	3	12	Qualify a second carrier; adapter layer; standard SLAs and parcel IDs	Ops lead
R11	Key-person dependency and unclear founder roles	Organisational	4	3	12	Written roles, equity and vesting, documented processes, cross-training, IP assignment	Founders
R12	Technology outage or security incident	Technology	3	4	12	Managed hosting, backups tested, monitoring, status page, incident runbook, WAF	CTO
R13	Regulatory change or new tax rules	Regulatory	3	3	9	Quarterly review, accountant on retainer, flexible contracts, compliance calendar	Legal adviser
R14	Currency or inflation pressure	Financial	3	3	9	TZS pricing, periodic repricing, cost buffers, avoid USD-linked commitments	Finance lead
R15	Brand or reputational damage from an incident	Reputation	2	5	10	Brand-use guidelines, rapid response, compensation policy, transparency, escalation	CEO

Reading the register: R01 and R03/R04/R05 are the risks that should shape the plan. R01 is addressed by the fallback track. R03–R05 are addressed by starting narrow, keeping fixed costs low and setting stop-loss triggers. The register should be reviewed monthly; a risk that is not reviewed is a decoration.

14.4 Scenario analysis

The model has three cost structures. The table shows the monthly operating result at different order volumes, with ancillary revenue ramping as in the cash plan. It illustrates operating leverage: small changes in volume produce large changes in profit or loss.

Monthly orders	Lean (fixed TZS 2.2m)	Moderate (fixed TZS 5.6m)	Ambitious (fixed TZS 12m)
300	(681,000)	(4,081,000)	(10,481,000)
900	1,957,000	(1,443,000)	(7,843,000)
1,200	3,376,000	(24,000)	(6,424,000)
1,500	4,495,000	1,095,000	(5,305,000)
3,000	10,090,000	6,690,000	290,000

Assumptions: contribution TZS 3,730/order; ancillary TZS 400,000 at 300 orders, TZS 800,000 at 900, and TZS 1.1m at 1,200 or more, for all scenarios. Figures are rounded to the nearest thousand and are planning illustrations, not forecasts.

The table shows why the lean structure is the right starting point. It can survive at 900 orders; the moderate structure cannot. The ambitious structure needs thousands of orders before it is viable, which is why it should not be attempted without serious capital and a proven playbook.

14.5 Kill criteria

The group should agree in advance what would cause it to stop. Proposed criteria:

- After Phase 2, fewer than 30% of surveyed customers say they would pay a delivery fee, or fewer than 15 suppliers meet the verification standard.
- No carrier can offer a written rate and service level within 20% of the model assumption.
- The best achievable commission is below 6% and suppliers refuse subscriptions.
- A pilot cannot reach 300 orders/month within six months despite a reasonable marketing spend.
- Contribution per order is below TZS 2,000 after three months of operation.
- A legal or regulatory issue cannot be resolved within the budget.
- The founders cannot commit the time required for 12 months.

Stopping is a legitimate outcome. It preserves capital and reputation for the next idea.

15. Startup costs and financial planning

15.1 Basis of the numbers

All figures are in Tanzanian shillings and are **planning assumptions**, not quotations. They are rounded and inclusive of VAT where VAT would apply, unless stated. The model uses an exchange rate of TZS 2,645 per USD for any conversion; the rate moves, so USD-denominated costs should be rechecked.

Three scenarios are presented:

- **Lean:** founder-led, unpaid founder time, minimal office, one contractor, manual operations. Suitable for a student group with limited capital.
- **Moderate:** small paid team, part-time technical support, modest office, professional advice. Requires external funding or significant savings.
- **Ambitious:** experienced team, larger build, marketing budget, multi-city preparation. Included for comparison; not recommended before proof.

15.2 One-time startup costs

Item	Lean (TZS)	Moderate (TZS)	Ambitious (TZS)	Notes
Company formation, TIN, licence, basic legal	1,500,000	2,500,000	4,000,000	BRELA, tax, basic contracts
Partner/franchise negotiation and due diligence	1,500,000	5,000,000	10,000,000	Legal and travel; not a fee
Illustrative brand licence/ franchise fee (placeholder)	0	15,000,000	50,000,000	**Not a quote**; may be zero or unaffordable
Brand identity and UI/UX	800,000	2,500,000	6,000,000	Logo, design system, content
MVP development	6,000,000	18,000,000	40,000,000	Founder time plus contractors
Payment gateway integration and testing	400,000	1,200,000	3,000,000	Integration, certification, test transactions
Devices, office and equipment	800,000	2,500,000	7,000,000	Laptops, phones, furniture
Supplier onboarding and catalogue	800,000	2,500,000	6,000,000	Field visits, photography, training
Launch marketing	2,000,000	6,000,000	15,000,000	Digital, field, referral
Legal documents: T&Cs, privacy, consumer filing	800,000	2,500,000	5,000,000	Drafting and review
Subtotal	**14,600,000**	**57,700,000**	**146,000,000**	
Contingency (15%)	2,190,000	8,655,000	21,900,000	Scope and cost overruns
Total one-time	**16,790,000**	**66,355,000**	**167,900,000**	

The placeholder franchise fee is the largest single variable. If a brand licence costs TZS 15m or TZS 50m upfront, it changes the funding requirement dramatically. The group should not accept a fee before it has evidence that the brand is worth more than an independent name. It may also be possible to structure a licence as a royalty on sales rather than an upfront fee, which shifts risk; that must be negotiated and taxed correctly.

15.3 Monthly operating costs

Item	Lean (TZS/month)	Moderate (TZS/month)	Ambitious (TZS/month)	Notes
Founder/ management salaries	0	1,200,000	3,900,000	Lean assumes unpaid founders
Customer support and operations staff	650,000	1,200,000	1,400,000	One to three people
Development/ maintenance contractor	0	600,000	1,400,000	Retainer or part-time
Cloud hosting, database, CDN	150,000	300,000	500,000	Usage-based
Domain, email, security, backup	50,000	100,000	250,000	Tools
SMS/WhatsApp notifications	80,000	150,000	250,000	Volume-dependent
Payment reconciliation and finance tools	50,000	80,000	120,000	Accounting and reconciliation
Marketing and acquisition	500,000	800,000	2,000,000	Can be paused
Field transport and supplier visits	250,000	300,000	400,000	Fuel, fares
Refund and claims reserve	200,000	250,000	400,000	Provision, not a cash cost until used
Accounting, payroll, legal retainer	200,000	300,000	600,000	Professional support
Office or co-working	0	200,000	600,000	Lean works remotely
Miscellaneous	70,000	120,000	180,000	Contingency
Total	**2,200,000**	**5,600,000**	**12,000,000**	

The lean budget is deliberately austere. It assumes founders work without salary, use their own laptops and phones, and operate from home. That is a real constraint, not a permanent model. It also means the lean scenario is not a fair comparison of the true cost of the business; it is a comparison of the cash cost to the founders.

15.4 Twelve-month funding requirement

The funding requirement is the **peak cumulative cash need**, not the sum of all costs. Revenue during the pilot reduces the peak.

Item	Lean (TZS)	Moderate (TZS)	Ambitious (TZS)
One-time startup costs	16,790,000	66,355,000	167,900,000
Pre-launch operating costs (6 months)	13,200,000	33,600,000	72,000,000

Item	Lean (TZS)	Moderate (TZS)	Ambitious (TZS)
Pilot net cash flow (6 months)	+1,649,500	(18,000,500)	(55,450,500)
Peak funding before buffer	**28,340,500**	**117,955,500**	**295,350,500**
Buffer (10%)	2,834,050	11,795,550	29,535,050
Total funding requirement	**31,174,550**	**129,751,050**	**324,885,550**

The lean pilot generates positive cash in months 4–6, so it does not need the full sum at once. The peak is reached in month 3. The moderate and ambitious pilots remain cash-negative through month 6, so the funding must cover the cumulative deficit.

15.5 Lean cash plan

Pilot month	Orders	Contribution + ancillary (TZS)	Fixed costs (TZS)	Net (TZS)	Cumulative (TZS)
1	100	573,000	2,200,000	(1,627,000)	(31,617,000)
2	250	1,232,500	2,200,000	(967,500)	(32,584,500)
3	450	2,128,500	2,200,000	(71,500)	(32,656,000)
4	650	3,024,500	2,200,000	824,500	(31,831,500)
5	800	3,734,000	2,200,000	1,534,000	(30,297,500)
6	900	4,157,000	2,200,000	1,957,000	(28,340,500)

The cumulative starts at the one-time cost plus six months of pre-launch operating costs: TZS 16,790,000 + TZS 13,200,000 = TZS 29,990,000. The pilot’s net cash flow reduces the peak to TZS 28,340,500 by month 6. This is the most optimistic of the three scenarios because it assumes unpaid founders and no major incident.

15.6 Moderate cash plan

Pilot month	Orders	Contribution + ancillary (TZS)	Fixed costs (TZS)	Net (TZS)	Cumulative (TZS)
1	100	573,000	5,600,000	(5,027,000)	(104,982,000)
2	250	1,232,500	5,600,000	(4,367,500)	(109,349,500)
3	450	2,178,500	5,600,000	(3,421,500)	(112,771,000)
4	650	3,174,500	5,600,000	(2,425,500)	(115,196,500)
5	800	3,984,000	5,600,000	(1,616,000)	(116,812,500)
6	900	4,457,000	5,600,000	(1,143,000)	(117,955,500)

The moderate plan needs about TZS 118m before buffer, and it is still losing money at month 6. It only becomes viable above about 1,200 orders/month with full ancillary revenue. This is why external funding should not be raised on the promise of quick profitability.

15.7 Break-even and sensitivity

Section 9 sets out the full table. The headline figures are:

- **Lean:** about 295 orders/month (10/day) at TZS 1.1m ancillary revenue; about 375 at TZS 800,000.
- **Moderate:** about 1,206 orders/month (40/day); about 1,287 at TZS 800,000.
- **Ambitious:** about 2,922 orders/month (97/day); about 3,003 at TZS 800,000.

A 2% change in commission has a larger effect on break-even than a 10% change in fixed costs, because commission applies to every order. The group should test commission sensitivity first.

15.8 What the budget excludes

- Founder opportunity cost and unpaid salaries in the lean case.
- Full commercial rent in the lean case.
- A warehouse or inventory.
- Vehicles or drivers.
- A large brand campaign.
- Legal costs of a dispute or regulatory investigation.
- The cost of a full-time engineer in the lean case.
- Corporate tax (because the pilot is not profitable).
- Debt service (because no debt is assumed).

A budget that excludes these is not wrong, but it must be read with them in mind. The true economic cost of the lean scenario is higher than the cash cost.

15.9 Funding options

Option	Fit	Advantages	Risks
Founders' savings and contributions	High for lean	No dilution; fast	Limited amount; personal risk
Family and friends	High for lean	Flexible; patient	Relationship risk; unclear terms
Grants and incubators	Medium	Non-dilutive; mentoring	Application time; reporting; eligibility
Supplier prepayment or subscription	Medium	Aligns supply; cash upfront	Suppliers may refuse; obligations
Angel investment	Medium	Capital and advice	Dilution; pressure to grow faster than evidence
Bank loan	Low at pilot	Keeps ownership	Personal guarantees; repayment before profit
Revenue-based financing	Low at pilot	Flexible repayment	Requires revenue; cost
Strategic partner (including Usiri)	Unknown	Distribution, brand, logistics	Loss of control; dependence; unclear terms

The recommendation is to fund the research phase from founders' contributions and small grants, not to raise a large round. Raising money before the model is proven transfers control without reducing uncertainty.

15.10 Financial controls from day one

- A separate company bank account; no personal spending.
- A bookkeeping system from the first transaction.
- Monthly budget versus actual, with explanations.
- A 13-week cash-flow forecast.
- Dual approval for payments above a threshold.
- A supplier payable ledger and a customer refund ledger.
- A fixed asset register (laptops, phones).
- A documented expense policy.
- An annual audit or independent review when revenue justifies it.

These controls are not bureaucracy. They are how the group knows whether it is succeeding.

15.11 What would change the numbers most

1. **Commission rate.** Moving from 8% to 10% raises contribution per order by about TZS 1,440 and lowers moderate break-even from 1,206 to 870.
2. **Average order value.** Moving from TZS 75,000 to TZS 50,000 at 8% lowers contribution to TZS 2,420 and raises break-even to 1,860.
3. **Return rate.** A 10% return rate instead of 4% cuts commission and adds reverse logistics, reducing contribution materially.
4. **Carrier cost.** A TZS 1,000 increase per parcel wipes out the delivery coordination margin and more.
5. **Fixed costs.** Hiring one additional person at TZS 1m/month raises moderate break-even by about 268 orders.
6. **Ancillary revenue.** If suppliers refuse subscriptions and advertising, break-even rises by about 295 orders in the moderate case (TZS 1.1m / TZS 3,730).

The model should be re-run with real data after Phase 2. The What-if calculator on the workbook’s Break-even sheet is built for that: change average order value, commission, payment fee, return rate, support, logistics margin, fixed costs or ancillary revenue, and contribution and break-even recalculate. The other workbook sheets are a static snapshot of the base case, so re-entering the agreed inputs there after the discussion is a deliberate step, not an automatic one.

16. Implementation roadmap

16.1 Principles

The roadmap is sequential at the gates and parallel where possible. It is designed so that **no phase depends on Usiri saying yes**. The partner track runs alongside the independent track, and the project can proceed without a brand licence or a carrier agreement.

Each phase has a deliverable, a budget range, a dependency and a **go/no-go test**. A phase is not complete because time has passed; it is complete because the deliverable exists and the test is met.

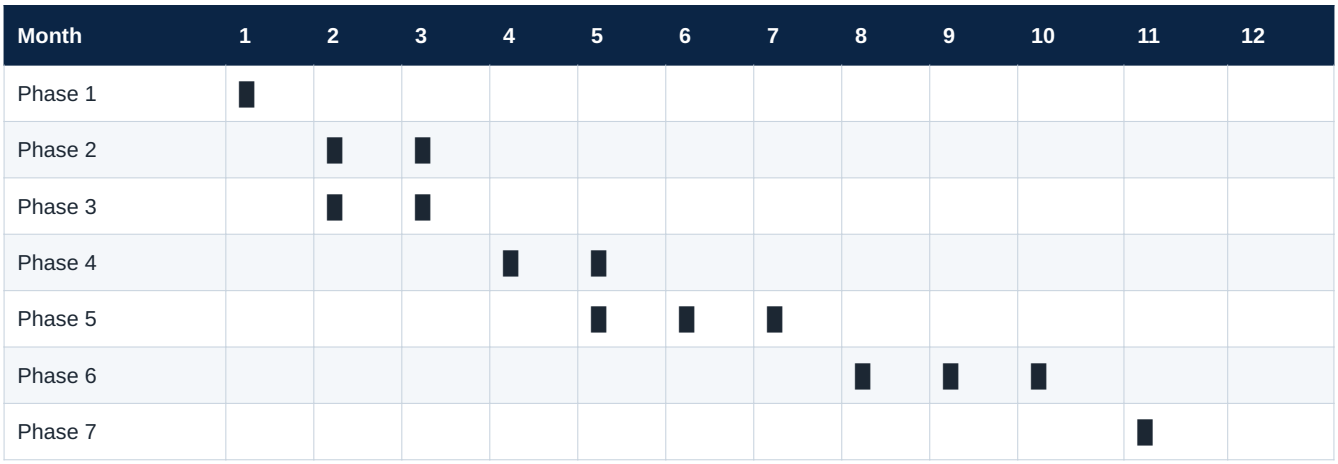
16.2 The seven phases

Phase	Duration	Key deliverables	Budget (TZS)	Dependencies	Go/no-go test	Owner
1. Internal concept review	2–4 weeks	This document; meeting decision; written go/revise/stop; budget cap	0–500,000	Founder availability	Group agrees to fund Phase 2 and appoints owners	CEO
2. Customer, supplier and competitor research	6–8 weeks	30 customer interviews; 15 supplier interviews; 8 mystery shops; 150+ survey responses; competitor price check; segment recommendation	2–5m	Access to suppliers and customers	Evidence supports a specific segment, price band and delivery fee	CEO + COO
3. Partner and franchise feasibility	4–6 weeks	Carrier capability assessment; indicative rates; draft term sheet; franchise/legal briefing; Usiri meeting notes	1–3m	Willingness of carriers to meet	A carrier confirms interest and rates are within 20% of the model	CEO
4. Commercial negotiation and legal review	6–10 weeks	Heads of terms; brand licence/ franchise draft (if any); carrier SLA; data-processing agreement; legal opinion; PDPC/ FCC filings	3–8m	Partner interest; legal counsel	Terms are affordable, non-exclusive and risk allocation is acceptable	CEO + Finance
5. MVP build and operational preparation	8–12 weeks	Working MVP; supplier handbook; support scripts; finance controls; pilot plan; 20 suppliers ready	10–30m	Phase 2–4 findings; team capacity	MVP passes acceptance tests; 20 suppliers onboarded	CTO + COO

Phase	Duration	Key deliverables	Budget (TZS)	Dependencies	Go/no-go test	Owner
6. Controlled pilot	12 weeks	Live orders in Dar es Salaam; weekly dashboard; incident log; cohort data	8–20m	MVP, suppliers, carrier, PSP	KPIs meet agreed thresholds or a clear fix path exists	COO
7. Evaluation and expansion decision	4 weeks	Pilot report; unit economics; decision memo; next-phase budget	1–2m	Pilot data	Group decides to scale, pivot or stop	CEO

16.3 Timeline

If the phases run sequentially, the elapsed time is about 42–56 weeks. With Phase 3 running in parallel with Phase 2, and Phase 4 starting as soon as a partner indicates interest, the realistic elapsed time to pilot launch is **9–11 months**. The pilot itself runs for 12 weeks.



The chart is indicative. Legal review and carrier negotiation are the most likely sources of delay.

16.4 Critical path

The critical path is:

Research findings → segment and price decision → carrier rates and SLA → MVP requirements → build → supplier onboarding → pilot.

The brand licence is **not** on the critical path. If Usiri takes longer than expected, the independent track continues. This is deliberate.

The payment integration is on the critical path because no pilot can run without it. The PSP sandbox should be opened in Phase 4, not Phase 5, so that certification does not delay launch.

16.5 Parallel tracks

Track	Runs during	Purpose	Owner
Customer research	Phase 2	Understand demand, price sensitivity, barriers	CEO

Track	Runs during	Purpose	Owner
Supplier research and recruitment	Phase 2–5	Build a pipeline of verified suppliers	COO
Carrier and Usiri discussions	Phase 3–4	Obtain rates, SLA, terms; assess brand licence	CEO
Legal and compliance	Phase 4–5	Company, contracts, PDPA, FCC, tax, insurance	Finance
Technology	Phase 5	Build and test the MVP	CTO
Finance and controls	Phase 4–5	Bank account, reconciliation, payout process, budget	Finance
Marketing preparation	Phase 5	Brand, content, waiting list, launch plan	Growth

16.6 Stage gates

A stage gate is a formal review with a written decision. The group should not proceed on momentum.

Gate 1 — after Phase 1: Is the concept worth researching? Is there a budget and an owner?

Gate 2 — after Phase 2: Is there a specific segment with evidence of willingness to pay? Are there at least 15 suppliers who meet the standard? Is the delivery fee acceptable?

Gate 3 — after Phase 3: Is there a carrier with written rates and a service level within the model? Is a brand licence available on acceptable terms, or is the independent track viable?

Gate 4 — after Phase 4: Are the legal terms acceptable? Is the total funding requirement within the group's capacity? Are the regulatory questions answered?

Gate 5 — after Phase 5: Does the MVP pass acceptance tests? Are 20 suppliers ready? Is the support process staffed?

Gate 6 — after Phase 6: Do the pilot KPIs meet the thresholds? Is there a credible path to break-even?

Gate 7 — after Phase 7: Scale, pivot or stop.

16.7 Budget note

The phase budgets above are a **cash-timing view**, not an additional budget on top of Section 15. Phase 5 overlaps with the one-time MVP cost, and Phase 6 overlaps with the pilot operating costs. The group should map each phase to the budget lines in the workbook to avoid double counting.

16.8 What could delay the roadmap

- Legal review takes longer than expected.
- A carrier cannot provide written rates.
- The PSP's merchant onboarding requires documents the company does not yet have.
- Supplier recruitment is slower than planned.
- The MVP scope grows.
- A founder becomes unavailable.

The plan should include a two-week buffer before the pilot and a rule that the launch date can slip once without a scope change. A second slip requires a formal review.

17. Minimum viable product

17.1 Definition

The MVP is the smallest product that lets a real customer in Dar es Salaam buy a real product from a real supplier, pay by mobile money, receive a tracked delivery and get a refund if something goes wrong — while the platform's small team can operate it without chaos.

It is not a demo. It is not a beautiful prototype. It is a working, secure, supportable system with a narrow scope.

17.2 Must-have capabilities

Customer-facing

- Browse categories and search products.
- Product page with price, description, dimensions, stock status, delivery estimate, return policy and seller information.
- Cart supporting multiple suppliers.
- Guest checkout with phone number and address; optional account creation.
- Delivery fee and total price shown before payment.
- Payment by at least two mobile money providers and one card option through a licensed PSP.
- Order confirmation by SMS and on-screen.
- Order status page with tracking reference.
- Cancel or request a return within the published window.
- Contact support by phone or WhatsApp.
- Swahili and English interface.

Supplier-facing

- Supplier application and document upload.
- Product upload by form and CSV; image upload.
- Stock and price update.
- Order alert; accept, pack and mark ready for handover.
- Packing slip and label download.
- Payout statement with commission, refunds and adjustments.
- Performance scorecard.

Admin-facing

- Supplier verification queue and document records.
- Catalogue moderation and category management.
- Order management with sub-orders and statuses.
- Refund and return processing.
- Payment reconciliation view.
- Payout approval with dual control.
- Carrier booking and manifest.
- Support ticket queue with order context.

- Basic reports: orders, GMV, revenue, contribution, returns, delivery performance.
- Role-based access and audit log.

Trust and legal

- Terms of service, privacy notice and returns policy in plain language.
- Seller verification badge and explanation.
- Secure checkout and data protection notice.
- Complaints and dispute process.
- PDPA registration and FCC filing (as advised).

17.3 Should-have capabilities (after launch)

- Verified buyer reviews with photos.
- Supplier-funded vouchers and campaigns.
- Sponsored placement.
- Saved addresses and wish lists.
- Referral programme.
- Delivery notifications via WhatsApp.
- Partial refund automation.
- Supplier scorecard automation.
- Cohort and retention dashboards.
- Address book with landmarks and pin location.

17.4 Deferred capabilities

Capability	Why deferred
Native iOS/Android apps	Web/PWA is enough to test demand; apps add cost and review cycles
Real-time GPS tracking	Carrier capability uncertain; status updates are sufficient
AI recommendations	No data; adds complexity
Chat between buyer and seller	Creates disintermediation and moderation burden
Customer wallet or credit	Licensing, fraud and float risk
Same-day delivery	Operationally unrealistic at pilot
Multi-city zones	One city first
Warehouse management	No warehouse
International shipping	Customs, tax and delivery complexity
Loyalty programme	No repeat base yet
Marketplace advertising auction	No traffic yet
Microservices	Unnecessary complexity
Multi-currency	Not needed
Automated supplier payouts	Manual approval is safer at pilot

17.5 Acceptance criteria

The MVP is ready for pilot only when all of the following are true:

1. A test customer can complete a purchase end-to-end on a mid-range Android phone in under five minutes.
2. Payment succeeds and fails gracefully, with a clear message and no duplicate charge.
3. An order creates the correct supplier sub-orders, commission and payout entries.
4. A supplier can accept, pack and mark an order ready, and print a label.
5. An admin can book a carrier, record a tracking number and mark delivery.
6. A customer can request a return and receive a refund through the PSP.
7. Reconciliation matches 100% of test transactions.
8. Access controls prevent a supplier from seeing another supplier’s orders or customer data.
9. Backups restore successfully in a test.
10. The privacy notice, terms and returns policy are published and linked at checkout.
11. Support has a written script and can find any order in under 30 seconds.
12. The system survives a simulated 100 concurrent users without error.

17.6 Build sequence

Sprint	Focus	Output
1	Foundations	Repository, environments, auth, database schema, design system
2	Catalogue and search	Supplier product upload, categories, product pages, search
3	Cart and checkout	Multi-supplier cart, address, delivery estimate, fees
4	Payments and orders	PSP integration, order creation, sub-orders, confirmation
5	Supplier and admin	Supplier portal, order management, labels, carrier booking
6	Returns, support and reporting	Returns, refunds, tickets, dashboards, reconciliation
7	Hardening	Security review, performance, backups, acceptance tests

Seven two-week sprints equal fourteen weeks; with overlap and a smaller scope, 8–12 weeks is achievable. The estimate assumes a dedicated technical lead and one developer.

17.7 What not to build

Do not build a feature because a competitor has it. Do not build a feature because it is technically interesting. Build only what is required for the pilot’s promise. Every additional feature adds maintenance, security surface and training cost.

The most common MVP failure is not a missing feature; it is a system that cannot be operated reliably by the team that built it.

18. Key performance indicators

18.1 Measurement principles

- **Targets are hypotheses**, set before the pilot and revised with evidence.
- **One north-star metric**, supported by guardrails. The north star is **successful delivered orders per month** — orders that arrive on time and are not returned for a platform-caused reason. It combines demand, fulfilment and trust.
- **Every metric has an owner, a source and a review frequency.** A metric without an owner is a number, not a control.
- **Report bad numbers early.** A late report is worse than a bad one.

18.2 The KPI table

#	KPI	Definition	Target (month 6)	Source	Frequency	Owner
1	Verified suppliers	Suppliers that passed KYC and have at least one live listing	40 by month 3; 60 by month 6	Supplier register	Weekly	COO
2	Active products	Listings visible, in stock and not suppressed	600 by month 3; 1,200 by month 6	Catalogue	Weekly	COO
3	Monthly visitors	Unique visitors to web/PWA	45,000	Analytics	Weekly	Growth
4	Conversion rate	Completed orders / unique visitors	2.0%	Analytics + orders	Weekly	Growth
5	Completed orders	Delivered or collected and confirmed	900/month	Order system	Daily	COO
6	Average order value	Net GMV / completed orders	TZS 75,000 (range 50,000–100,000)	Order system	Weekly	Finance
7	Cancellation rate	Cancelled orders / placed orders	Below 4%	Order system	Weekly	COO
8	Return rate	Returned units / delivered units	Below 5%	Returns log	Weekly	COO
9	On-time delivery	Delivered within promised window	At least 90%	Carrier manifest + POD	Weekly	Ops
10	Cost per acquired customer	Marketing spend / first-time buyers	At most TZS 8,000	Marketing + orders	Monthly	Growth
11	Repeat purchase rate	Buyers with 2+ orders in 90 days	At least 20%	Order system	Monthly	CEO

#	KPI	Definition	Target (month 6)	Source	Frequency	Owner
12	Contribution margin	Contribution / gross order value	At least 4%	Finance	Monthly	Finance
13	Complaints resolved	Resolved within 48 hours	At least 90%	Support system	Weekly	Support
14	Supplier retention	Suppliers active after 90 days	At least 80%	Supplier register	Quarterly	COO
15	Platform uptime	Availability of checkout and order APIs	At least 99.5% monthly	Monitoring	Monthly	CTO

18.3 Leading indicators

Lagging metrics tell the group what happened. Leading indicators tell it what is about to happen.

Leading indicator	Why it matters	Watch threshold
Supplier application-to-verification time	Slow verification kills supply momentum	Above 7 days
Time to first listing	A supplier that does not list within a week may never list	Above 7 days
Checkout completion rate	Payment or address friction	Below 60%
Delivery exception rate	Precursor to complaints and returns	Above 10%
First-attempt delivery success	Cost and customer experience	Below 75%
Support response time	Trust during exceptions	Above 4 hours
Refund processing time	Cash and trust	Above 7 days
Repeat order within 30 days	Early signal of retention	Below 10%
Supplier cancellation rate	Supply reliability	Above 5%
Marketing cost per add-to-cart	Efficiency of acquisition	Rising for 3 weeks

18.4 Dashboard and review rhythm

- **Daily:** orders, payments, delivery exceptions, support queue, cash balance.
- **Weekly:** suppliers, catalogue, traffic, conversion, on-time delivery, returns, complaints.
- **Monthly:** cohort retention, contribution margin, CAC, supplier retention, budget versus actual, risk register.
- **Quarterly:** unit economics, market changes, strategy, phase gate.

The dashboard should be visible to the whole team. Hiding bad numbers from the team is how small problems become crises.

18.5 Stop-loss triggers

The group should agree in advance that certain results trigger a pause or pivot:

- Contribution per order below TZS 2,000 for three consecutive months.
- Return rate above 8% for two consecutive months.

- On-time delivery below 80% for two consecutive months.
- CAC above TZS 12,000 for two consecutive months.
- Supplier churn above 30% in a quarter.
- A data breach or regulatory enforcement action.
- Cash below two months of fixed costs.

A trigger does not automatically mean stop. It means a formal review within two weeks, with a written decision.

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19. Group discussion and decision framework

19.1 Purpose of the meeting

The meeting is not a launch approval. It is a decision about **whether to fund a research phase** and under what conditions. The group should leave with a written decision, a budget cap and named owners.

19.2 Pre-reading

Participants should read:

1. This concept document, especially Sections 1, 9, 14, 15 and 19.
2. The one-page executive summary.
3. The startup budget and decision workbook (Assumptions, Startup Budget, Break-even, Cash Plan, Risk Register).
4. The four diagrams.

Reading time: about 60–75 minutes. The meeting should not be used to read the document aloud.

19.3 Agenda (90 minutes)

Time	Item	Lead	Output
0–5	Welcome, purpose, decision sought	Chair	Alignment
5–20	The idea and the customer problem	Project initiator	Shared understanding
20–35	Business model and unit economics	Finance lead	Clarity on contribution and break-even
35–50	Usiri relationship: what is known and not known	Project initiator	Realistic expectations
50–65	Risks, feasibility and what would kill the idea	COO	Agreed top risks
65–80	Decision matrix and options	Chair	Scores and preferred option
80–90	Budget, owners, dates, next meeting	Chair	Written decision

19.4 Questions for the group

About the customer

1. Which specific customer are we serving, and what do they buy today?
2. Would we use this service ourselves? Why or why not?
3. What would make a first-time buyer trust us with TZS 75,000?
4. Is the delivery fee acceptable, or does it need to be absorbed into the price?

About the supplier

1. Which five shops would we approach first, and why would they say yes?

2. What commission would make them refuse?
3. Can they pack to a standard, and who trains them?
4. What happens when a supplier cancels or sends the wrong item?

About the partner

1. What exactly do we want from Usiri: carriage, brand, branches, or all three?
2. What are we willing to give in return?
3. What is our walk-away condition?
4. If Usiri says no, do we still proceed?

About the money

1. How much can the group afford to lose?
2. Who funds the research phase, and on what terms?
3. What evidence would justify the next tranche?
4. What is the stop-loss trigger?

About the team

1. Who is accountable for each phase?
2. Who has the technical skill to build or manage the MVP?
3. What happens if a founder leaves?
4. How will we make decisions when we disagree?

19.5 Options

Option	Description	When to choose
A. Fund research (recommended)	Approve Phase 2 with a cap of TZS 2–5m, 8 weeks, named owners, and a written go/no-go	The group believes the problem is worth testing and can afford the research
B. Revise and return	Send the concept back for a narrower scope, a different segment or a lower budget	The group sees potential but is not convinced by the current scope
C. Pause	Take no further action for now; keep the document	The group lacks time, money or conviction
D. Stop	Record the decision and close the project	The risks or costs are unacceptable

19.6 Decision matrix

Score each criterion from 1 (very poor) to 5 (very strong). Multiply by the weight. The weighted total is out of 5. The scores are **judgements**, not measurements; the purpose is to structure the discussion, not to replace it.

Criterion	Weight	Question	Score (1–5)	Weighted
Commercial attractiveness	25%	Is the customer problem large and urgent? Will they pay?		
Feasibility	20%	Can this team build and operate the MVP?		

Criterion	Weight	Question	Score (1–5)	Weighted
Cost and funding	15%	Is it affordable, with a credible path to break-even?		
Risk	20%	Is the downside acceptable, including partner dependence?		
Strategic fit	10%	Does it fit our skills, network and ambitions?		
Evidence quality	10%	Do we have enough evidence to proceed?		
Total	**100%**			**/5**

Suggested interpretation (to be agreed before scoring):

- **4.0–5.0:** proceed to Phase 2 with confidence.
- **3.0–3.9:** proceed, but fix the weakest criterion first.
- **2.0–2.9:** revise the concept and reassess.
- **Below 2.0:** stop or pivot.

Do not score “evidence quality” highly on the basis of this document alone. It is desk research, not primary evidence.

19.7 Ownership and funding questions the group must not skip

The document does not assume that ownership, equity, salaries or funding are agreed. The meeting should address, at least at a principle level:

- Who is a founder, and who is an early employee or adviser?
- What is each person contributing: time, money, skills, network?
- How is equity divided, and does it vest over time?
- Who funds the research phase, and is it a loan, a gift or equity?
- What happens if the group needs more money and one founder cannot contribute?
- Who owns the intellectual property?
- How are disagreements resolved, and what is the deadlock rule?
- What is the exit or wind-down process?

These questions do not need final answers at the first meeting. They need an owner and a date.

19.8 Decision record template

Item	Record
Date and attendees	
Decision	Fund Phase 2 / revise / pause / stop
Budget cap	TZS

Item	Record
Scope	
Owners	
Deadline	
Conditions	
Dissenting views	
Next review date	

The record should be circulated within 48 hours and stored with the project files.

19.9 What not to decide today

- Do not approve a launch.
- Do not sign or authorise a franchise fee.
- Do not promise Usiri anything.
- Do not allocate equity without a written agreement.
- Do not commit to a launch date before the research and legal work.
- Do not treat a verbal expression of interest as a partnership.

20. Conclusion and next steps

20.1 What we know

- Tanzania has widespread mobile connectivity and mobile money, with 49.3 million internet subscriptions and 75.78 million active mobile money users reported in 2025 [S5][S6].
- The organised e-commerce market is small relative to the population, with public estimates ranging from about USD 536m to USD 693m for 2025 [S7][S8].
- Jumia exited Tanzania in 2019 and had not confirmed a return as of November 2025 [S9][S10].
- Classifieds and social commerce dominate; they offer selection but not reliable fulfilment or buyer protection [S21][S22].
- Usiri describes a substantial transport network but publishes no API, rate card, liability terms or working tracking page [S1][S2][S4].
- The unit economics are thin: at the model's assumptions, each order contributes about TZS 3,730 before fixed costs.

20.2 What we believe but have not proven

- Urban households will pay a delivery-related charge of TZS 5,000–7,000 for a reliable, tracked delivery.
- At least 25–40 credible home and kitchen suppliers will accept an 8% commission and a service standard.
- A licensed carrier can deliver within 2–4 days at a cost that leaves a small coordination margin.
- A curated, verified marketplace can earn repeat business in a market where trust is scarce.
- A brand licence with Usiri would help, but is not essential to launch.

Each belief is a research question. None should be presented to a partner or investor as a fact.

20.3 What we do not know

- The actual return rate by category.
- The actual carrier rates and service levels.
- The commission suppliers will accept.
- The delivery fee customers will pay.
- The cost of acquiring a customer in Dar es Salaam.
- Whether Usiri is interested in a partnership, and on what terms.
- Whether a returning Jumia would change the market.
- The final legal and tax treatment of the marketplace model.
- Whether the founders can commit the time and capital required.

20.4 Recommendation

Proceed to a bounded research phase, not to launch.

The research phase should:

- Last eight weeks.
- Cost no more than TZS 2–5 million.
- Be led by a named owner, with support from at least two other members.

- Produce a written report with evidence, not opinions.
- End in a go/no-go decision using the criteria in Section 19.

In parallel, the group should:

- Approach at least two carriers, including Usiri, for written rates and service levels.
- Speak to a lawyer about company structure, PDPA, FCC, payments and transport liability.
- Speak to an accountant about VAT, corporate tax and withholding.
- Start an independent brand track so the project is not dependent on a licence.
- Recruit a pipeline of 20–40 suppliers for interviews, without asking for commitments.

20.5 The next 30, 60 and 90 days

First 30 days

- Hold the group decision meeting; record the decision and budget.
- Appoint the research lead and phase owners.
- Draft the interview guides and survey.
- List 60 target suppliers and 10 target carriers.
- Open initial legal and accounting conversations.
- Set up a project folder, budget tracker and weekly meeting.

Days 31–60

- Complete 15 customer interviews and 8 supplier interviews.
- Run the survey; aim for 150 responses.
- Mystery-shop 8 competitors.
- Request written rates from 3 carriers.
- Meet Usiri for an information discussion; send a written summary.
- Produce an interim findings memo.

Days 61–90

- Complete all interviews and analysis.
- Build the segment, price and delivery recommendation.
- Obtain a legal briefing note and an accounting note.
- Re-run the financial model with real data.
- Hold the Phase 2 gate review.
- Decide: proceed to partner negotiation and MVP, revise, or stop.

20.6 Conditions for proceeding to build

The group should not authorise the MVP until:

1. The research shows a specific segment with willingness to pay.
2. At least 15 suppliers meet the verification standard and are willing to sign.
3. A carrier provides written rates and a service level within 20% of the model.
4. The legal questions on payments, data, consumer contracts and transport are answered.
5. The funding for Phase 5 is committed or plausibly available.
6. The founders have signed a roles, equity and IP agreement.

7. The group has agreed the stop-loss triggers.

If these conditions are not met, the correct decision is to revise or stop, not to build and hope.

20.7 Closing statement

This document describes a real opportunity and a difficult business. The opportunity is not that Tanzania has many phones or that e-commerce is growing. It is that a customer in Dar es Salaam still cannot easily buy a good product from a trusted local seller, pay safely, receive it on time and get a fair remedy if something goes wrong. Someone will solve that. The question is whether this group can solve it with the resources, discipline and patience it requires.

The answer is not in this document. It is in the next eight weeks of conversations, quotes and evidence. The group should spend a small amount of money to find out, rather than a large amount to assume.

Appendix A. Assumptions register

Every financial figure in this document depends on an assumption. The register makes them explicit so that they can be tested, challenged and replaced.

ID	Assumption	Value	Basis	Sensitivity	How to verify
A01	Average order value	TZS 75,000	Planning judgement based on target category	High; at TZS 50,000 break-even rises to 1,860	Supplier price lists; competitor basket
A02	Commission	8% of net GMV	Comparable marketplace range; not a quote	High; 10% lowers moderate break-even to 870	Supplier interviews; willingness-to-pay test
A03	Payment fee	2.5% of net GMV	Planning assumption	Medium; each 0.5% costs TZS 360/order	PSP quotation
A04	Return rate	4% of gross	Planning assumption; category-dependent	High; 8% cuts contribution materially	Supplier and competitor data; pilot
A05	Refund handling	1% of returned value	Planning assumption	Low	Pilot measurement
A06	Support cost	TZS 700/order	Planning assumption	Medium	Time study; staffing model
A07	Customer delivery charge	TZS 5,000/order average	Planning assumption; pass-through	High; affects conversion	Customer survey; price test
A08	Carrier cost	TZS 5,000/order average	Planning assumption; no quote	Very high	Written carrier rate card
A09	Coordination fee / cost	TZS 1,000 / TZS 500	Planning assumption	Medium	Customer test; time study
A10	Supplier subscriptions	TZS 600,000/ month total	30 suppliers × TZS 20,000	Medium	Supplier interviews
A11	Sponsored revenue	TZS 500,000/ month	Planning assumption from month 6	Medium	Supplier interviews; traffic data
A12	Fixed opex	TZS 2.2m / 5.6m / 12m	Bottom-up budget in Section 15	High	Quotes; hiring plan
A13	Pre-launch period	6 months	Roadmap estimate	Medium	Phase plan
A14	Pilot period	6 months	Roadmap estimate	Medium	Phase plan
A15	Order ramp	100 → 900/month	Planning assumption	High	Pilot data
A16	Contingency	15% of one-time costs	Standard planning allowance	Low–medium	Review at gate
A17	Franchise fee (placeholder)	0 / 15m / 50m	Illustrative only; **not a quote**	Very high	Written term sheet
A18	FX rate	TZS 2,645/USD	Planning assumption	Medium for USD costs	Bank of Tanzania rate on the day

ID	Assumption	Value	Basis	Sensitivity	How to verify
A19	Ancillary ramp	TZS 200k → 1.1m/month	Planning assumption	Medium	Pilot data
A20	CAC target	TZS 8,000	Planning assumption	High	Campaign measurement
A21	Conversion target	2.0%	Planning assumption	Medium	Analytics
A22	Monthly visitors	45,000 by month 6	Planning assumption	Medium	Analytics
A23	Repeat purchase	20% in 90 days	Planning assumption	High	Cohort analysis
A24	Supplier count	60 by month 6	Planning assumption	Medium	Recruitment pipeline
A25	Active SKUs	1,200 by month 6	Planning assumption	Medium	Catalogue
A26	Delivery success	90% on time; 80% first attempt	Operational target	High	Carrier data

Appendix B. Source register

All sources were accessed on 29 October 2026 unless otherwise stated. The register records what each source was used for and its limitations. A source's presence here does not mean the group has independently audited it.

ID	Publisher	Title / page	URL	Used for	Limitations
S1	Usiri Group of Companies	About	https://www.usirigroup.co.tz/about	Self-reported years, routes, agents, trips, customers	Company marketing; figures not audited; inconsistent across pages
S2	Usiri Group of Companies	Transportation	https://www.usirigroup.co.tz/services/transportation	Service scope and routes	No rates, API, liability terms or fleet size
S3	Usiri Group of Companies	Locations	https://www.usirigroup.co.tz/locations	Branch list	Self-reported; addresses not verified
S4	Usiri Group of Companies	Tracking	https://www.usirigroup.co.tz/track	Tested public tracking	Returned HTTP 404 at review; no public tracking interface
S5	TCRA	Communications Statistics Report, quarter ending March 2025	https://www.tcra.go.tz/tcra-tovuti/2025/mamlaka-website/documents/quarterly-statistics/Communication_Statistics_report_for_end_of_March_2025_1744814447_4329fbf17d.pdf	Internet subscriptions, smartphone penetration, 4G coverage	Official; Q1 2025; subscriptions not unique users
S6	Bank of Tanzania	National Payment Systems Annual Report 2025	https://www.bot.go.tz/Publications/Regular/Annual%20Report/en/2026060211494565.pdf	Mobile money users, merchants, P2B value, licensed providers	Official; 2025 data; definitions differ from TCRA
S7	International Trade Administration (USA)	Tanzania Country Commercial Guide — eCommerce	https://www.trade.gov/country-commercial-guides/tanzania-ecommerce	Market estimate, social commerce dominance	Government guide citing third-party estimate; differs from S8
S8	eCommerceDB	E-Commerce Industry in Tanzania	https://ecdb.com/resources/sample-data/market/tz/all	Alternative market estimate and growth	Model-based estimate; conflicts with S7
S9	Reuters / Africanews	How Jumia closed two portfolios in 10 days	https://www.africanews.com/2019/12/03/how-jumia-closed-two-portfolios-in-10-days-from-cameroon-to-tanzania/	Jumia exit, 27 November 2019	Historical news report
S10	TechCabal	Jumia considers Tanzania and Angola expansion	https://techcabal.com/2025/11/18/jumia-considers-tanzania-angola-expansion/	Possible Jumia return	News report; no confirmed launch or date
S11	TRA	Value Added Tax	https://www.tra.go.tz/page/value-added-tax-vat	VAT rate and threshold	Official guidance; confirm current application
S12	PwC	Tanzania — Corporate — Taxes on corporate income	https://taxsummaries.pwc.com/tanzania/corporate/taxes-on-corporate-income	Corporate income tax rate	Professional summary; confirm Finance Act
S13	ZATRA	Franchising Tanzania: Law, Tax and Royalty Guide	https://www.zatra.co/post/franchising-tanzania	Franchise law, contract/trademark statutes, withholding	Law-firm commentary; not legal advice
S14	DLA Piper	Data protection laws in Tanzania	https://www.dlapiperdataprotection.com/?c=TZ&t=l	PDPA 2022 obligations, PDPC, penalties	Professional summary; verify against the Act
S15	Rex Attorneys	PDPC registration deadline	https://rexattorneys.co.tz/portfolio/reminder-to-clients-final-deadline-for-registration-with-the-personal-data-protection-commission-pdpc/	Registration deadline, DPO requirement	Law-firm update; confirm with PDPC

ID	Publisher	Title / page	URL	Used for	Limitations
S16	Fair Competition Commission	Standard Form (Consumer Contracts) Regulations 2014	https://www.fcc.go.tz/attachments/attachment-1719186970334-2762257834.%20Standard%20Form%20CONSUMER%20CONTRACTS%20Regulations%202014.pdf	Consumer contract registration	Regulation; confirm filing practice and scope
S17	TCRA	Postal services and licensing	https://www.tcra.go.tz/resources/postal-services	Courier licence categories and fees	Official; applicability to marketplace model to confirm
S18	TCRA	National Addressing and Postcode	https://www.tcra.go.tz/services/featured/national-adressing-and-postcode	Postcode and addressing programme	Official; practical address quality remains a constraint
S19	Ministry of Finance	Electronic Transactions Act 2015 (Cap. 442 R.E. 2022)	https://www.mof.go.tz/uploads/documents/en-1676545044-THE%20ELECTRONIC%20TRANSACTIONS%20ACT,%20CAP%20442%20R.E.%202022.pdf	Electronic transactions, signatures, records	Primary legislation; interpretation requires counsel
S20	National Bureau of Statistics	2022 Population and Housing Census — population size	https://sensa.nbs.go.tz/dissemination/results	Population 61,741,120; Dar es Salaam	Official census; regional figure used as approximate
S21	Jiji Tanzania	Website	https://www.jiji.co.tz/	Classifieds model	Site reviewed; no audited market share
S22	Kupatana	Website	https://kupatana.com/	Classifieds model	Site reviewed; “#1” claim is self-reported
S23	KiKuu	Website	https://www.kikuu.co.tz/	Cross-border e-commerce model	Site reviewed; delivery times vary
S24	Dar Shopping	Website	https://darshopping.co.tz/	Local marketplace, delivery and payment options	Site reviewed; scale and seller quality not verified

A note on source conflicts. S7 and S8 give materially different market sizes. S5 and S6 use different definitions of mobile money and internet users. S1 and S2 give different route and agent counts. The document reports the conflict rather than choosing the most flattering number. Where a decision depends on the number, the group must obtain a primary measurement.

Appendix C. Research questions and evidence checklist before approaching Usiri

C.1 Customer evidence

1. What did you buy online in the last 12 months, from whom, and how did you pay?
2. What was the last online purchase that went wrong? What happened?
3. How much did you pay for delivery? Would you pay TZS 5,000? TZS 7,000?
4. What would make you trust a new marketplace with a TZS 75,000 order?
5. Which categories would you buy online, and which would you never buy online?
6. How important is same-day or next-day delivery?
7. Would you return an item if the process were easy? What would make it easy?
8. Which platforms and shops do you use today, and why?
9. What is your monthly household budget for home and kitchen goods?
10. Would you recommend a good experience to a friend? What would you say?

Evidence standard: 30 interviews, recorded themes, at least 150 survey responses, 8 mystery shops with screenshots and timestamps.

C.2 Supplier evidence

1. What do you sell, and what is your monthly sales volume?
2. Have you sold online before? What happened?
3. What commission would you accept? What would make you refuse?
4. Would you pay a monthly subscription? How much?
5. Who packs and dispatches orders today?
6. What is your return policy, and what does a return cost you?
7. How do you verify payment today? Have you been defrauded?
8. What would you need from a marketplace to trust it?
9. Which products are your best sellers, and which are your most returned?
10. Would you give a marketplace exclusivity? For how long?

Evidence standard: 15 interviews, 5 site visits, product and price lists, written indication of commission acceptance.

C.3 Carrier evidence

1. What routes do you cover, and what are the transit times?
2. What is your rate per kilogram, and how do you calculate volumetric weight?
3. What are your surcharges and minimum charges?
4. What is your liability limit for loss and damage?
5. Do you have goods-in-transit insurance? What does it cover?
6. How do you provide tracking and proof of delivery?
7. Do you have an API, or only a portal/manual process?
8. What is your capacity during peak season?

9. What are your payment and reconciliation terms?
10. Are you willing to sign an SLA with penalties?

Evidence standard: three written rate cards, one draft SLA, one API or portal demonstration.

C.4 Partner evidence

1. Is Usiri interested in a carrier agreement, a brand licence, a franchise, or none?
2. Who has authority to negotiate and sign?
3. What are the brand licence terms and fees, if any?
4. What data can be shared, and under what roles?
5. What is the termination and wind-down process?

Evidence standard: written expression of interest, named contact, indicative terms, legal review.

C.5 Legal and regulatory evidence

1. What company structure and registrations are required?
2. What PDPC registration and DPO arrangements apply?
3. Which consumer contracts must be filed with the FCC?
4. Does the payment flow require a licence or a licensed partner?
5. What tax registrations and treatments apply?
6. Does the platform need a courier licence?
7. What insurance is required or prudent?

Evidence standard: written advice from a Tanzanian lawyer and accountant; confirmation from the relevant regulator where possible.

C.6 What not to do before the evidence exists

- Do not pay a franchise or brand fee.
- Do not sign an exclusive carrier agreement.
- Do not promise suppliers a commission rate or payout date.
- Do not announce a launch date.
- Do not describe the project as an Usiri project.
- Do not raise money on projections that the research has not tested.

Appendix D. Financial model formulas

The workbook implements the following logic. The formulas are shown so that any reader can reproduce or challenge the numbers. The What-if calculator on the Break-even sheet uses exactly these formulas and is the only live part of the workbook.

Unit economics

- Net GMV per order = AOV × (1 − return rate)
- Commission = Net GMV × commission rate
- Payment fee = Net GMV × payment fee rate
- Refund handling = AOV × return rate × refund handling rate
- Logistics net = coordination fee − coordination cost
- **Contribution per order = commission + logistics net − payment fee − refund handling − support cost**

Worked example (1,000 orders)

- Gross GMV = 1,000 × AOV
- Net GMV = Gross GMV × (1 − return rate)
- Revenue = commission + subscriptions + coordination revenue + sponsored revenue
- Variable costs = payment fees + refund handling + support + coordination cost
- **Contribution = Revenue − Variable costs**
- **Net result = Contribution − Fixed opex**
- Take rate = Revenue ÷ Gross GMV
- Contribution margin = Contribution ÷ Gross GMV
- Net margin = Net result ÷ Gross GMV

Break-even

- **Break-even orders = (Fixed opex − Ancillary revenue) ÷ Contribution per order**

Cash plan

- Starting cash = −(One-time costs + Pre-launch opex)
- Monthly net = (Orders × Contribution per order) + Ancillary revenue − Fixed opex
- Cumulative cash = Starting cash + Σ Monthly net
- **Funding requirement = One-time costs + Pre-launch opex − Σ Pilot net cash flow**
- Funding with buffer = Funding requirement × 1.10

Rounding. Figures in the document are rounded for readability. The workbook retains the underlying values. Small differences between a hand calculation and the workbook are due to rounding, not to a different model.

Appendix E. Diagram index

Diagram	File	What it shows	Use
Business model	`diagrams/business_model.svg`	Five actors (Usiri as potential partner, suppliers, operator, customers, carrier), the regulatory perimeter and the money flow	Explain the model in one page
Workflow	`diagrams/workflow.svg`	Customer, marketplace, supplier, carrier and payment provider across eight stages	Train the team; identify handoffs
Organisation	`diagrams/organisation.svg`	Founders/board, CEO, CTO, COO, finance, growth and their teams	Discuss roles and hiring
Technology architecture	`diagrams/tech_architecture.svg`	Clients, edge, application, data and integrations	Brief a developer; scope the MVP

The diagrams are communication tools. They are not contracts, org charts with legal effect, or technical specifications.

Appendix F. Limitations and falsification tests

F.1 Limitations of this document

1. **Desk research only.** No customer, supplier or carrier interviews have been conducted. The market section is a literature review, not primary evidence.
2. **No quotations.** Every cost, fee and rate is a planning assumption. No carrier, PSP, supplier, lawyer or landlord has quoted the group.
3. **No legal or tax advice.** The legal section identifies issues; it does not resolve them.
4. **Self-reported partner information.** Usiri's claims are from its own website and have not been audited. There is no confirmation of interest.
5. **Conflicting market data.** The two market-size estimates differ by about 29%; neither is definitive.
6. **Thin unit economics.** The model shows a loss at pilot volume in the moderate scenario. This is a finding, not a formatting error.
7. **Optimistic operational assumptions.** The model assumes 90% on-time delivery and a 4% return rate before any operating history exists.
8. **Unpriced risks.** Fraud, regulatory fines, brand damage and key-person loss are not fully priced.
9. **Time sensitivity.** Regulations, fees, market conditions and competitor behaviour will change.
10. **No commitment.** Nothing in this document creates an obligation on the group, Usiri or any third party.

F.2 What would prove this concept wrong

The concept should be revised or abandoned if:

- Fewer than 30% of surveyed customers say they would pay a delivery fee of TZS 5,000 or more.
- Fewer than 15 suppliers meet the verification standard and accept an 8% commission.
- No carrier can offer a written rate and service level within 20% of the model.
- The realistic return rate is above 8% in the chosen category.
- Customer acquisition cost exceeds TZS 12,000 for two consecutive months.
- Contribution per order falls below TZS 2,000 after three months of operation.
- The pilot cannot reach 300 orders/month within six months despite a reasonable marketing spend.
- A legal or regulatory requirement cannot be met within the budget.
- A brand licence is only available on exclusive, expensive or unacceptable terms, and the independent brand cannot attract customers.
- The founders cannot commit the time and capital required for 12 months.

F.3 What would strengthen the concept

- A signed, non-exclusive carrier agreement with a written rate card and SLA.
- 15+ suppliers with signed agreements and live stock.
- 30+ customer interviews showing a consistent willingness to pay.
- A priced MVP from a credible developer.
- Written legal and tax advice.
- A pilot with real orders, real returns and real contribution data.
- A second carrier qualified and benchmarked.
- A brand licence term sheet that is affordable and terminable.

Appendix G. Document history and next review

Version	Date	Author	Change	Status
0.1	29 Oct 2026	Project initiator	Initial research notes and model	Internal
1.0	29 Oct 2026	Project initiator	Full concept document, diagrams, workbook, meeting pack	For group discussion
1.1	After Phase 2	Research lead	Replace assumptions with evidence; re-run model	Planned

Next review: at the Phase 2 gate, or earlier if a material fact changes (for example, Usiri confirms or declines interest, a carrier publishes rates, or a competitor announces a launch).

Owner of this document: the project initiator, until the group appoints a CEO or research lead.

End of concept document.